

11

Cash Flows



SPOTLIGHT

Singtel

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Singtel is one of Asia's leading communications groups. Headquartered in Singapore, it has subsidiaries, associates, and joint arrangements around the world—Optus (Australia), Bharti Airtel (India, South Asia, and Africa), Telkomsel (Indonesia), Globe Telecom (the Philippines), and Advanced Info Services (Thailand). Singtel's 2016 fiscal year showed total revenue of S\$16,961 million (Singapore Dollars, where S\$1 is approximately US \$0.7) and a net profit of S\$3,871 million. Its cash and cash equivalents, however, decreased from S\$563 to S\$462 million. ●

Taras Vyshnya/Shutterstock



A1				
	A	B	C	D
1	Singtel	12 Months Ended		
2	Consolidated Statement of Cash Flows			
3	(Adapted, in millions of S\$)	Dec. 31, 2016	Dec. 31, 2015	Dec. 31, 2014
4	Profit before tax	S\$ 4,581	S\$ 4,463	S\$ 4,348
5	Adjustments for:			
6	Depreciation and amortization	2,149	2,161	2,133
7	(Gain)/Loss on sale of PPE	(6)	3	3
8	Changes in working capital	(1,042)	86	(305)
9	All other items (summarized)	(1,034)	(927)	(828)
10	Net cash inflow from operating activities	S\$ 4,648	S\$ 5,787	S\$ 5,350
11				
12	Payment for purchase of PPE and intangible assets	(2,103)	(3,204)	(2,378)
13	Payment for investment in associates and subsidiaries	(1,275)	(451)	(451)
14	Purchase of investments	(39)	(23)	(50)
15	Sale of investments	81	75	13
16	Proceeds from sale of PPE and intangible assets	6	16	7
17	All other items (summarized)	590	30	58
18	Net cash inflow from investing activities	S\$ (2,740)	S\$ (3,557)	S\$ (2,801)
19				
20	Proceeds from loans and borrowings	7,171	5,215	3,461
21	Repayment of loans	(6,058)	(4,465)	(3,221)
22	Dividends paid	(2,789)	(2,678)	(2,678)
23	All other items (summarized)	(367)	(383)	(387)
24	Net cash provided by financing activities	S\$ (2,044)	S\$ (2,311)	S\$ (2,825)
25				
26	Net cash flows	(136)	(81)	(275)
27	Effects of exchange rates on cash and cash equivalents	35	21	(13)
28	Cash and cash equivalents at the beginning of the year	563	623	911
29	Cash and cash equivalents at the end of the year	S\$ 462	S\$ 563	S\$ 623

In any business, managing cash flows is extremely important. You may have heard the saying that “cash flow is the lifeblood of any business.” A profitable company can face bankruptcy if it does not pay adequate attention to how cash is being generated or used. In the preceding chapters, we covered cash flows in relation to various topics: receivables; property, plant and equipment (PPE); liabilities; equity; and so on. In this chapter, we show you how to prepare and use the statement of cash flows.

Singtel’s simplified statement of cash flows is shown as follows. For now, pay attention to the key sections and features. In this chapter, we discuss each of them in detail. You should be able to see that the statement of cash flows has three main sections, with some reconciliations at the end of the statement.

For the year ended March 31, 2016, Singtel’s cash flows from operating, investing, and financing activities were S\$4,648, (S\$2,740), and (S\$2,044) million, respectively. Net cash flow for the year totaled (S\$136) million. In cash flow statements, the numbers in brackets indicate cash outflows, and the numbers without brackets indicate cash inflows. The net cash flows reconcile beginning cash and cash equivalents of S\$563 to ending cash and cash equivalents of S\$462. These two amounts can be traced to Singtel’s Balance Sheet, which has not been presented.

We begin with the statement format used by the vast majority of companies: *indirect method*. Singtel’s cash flow from operating activities was prepared using this method. It may look a little complicated for now, but we explain how the indirect method works. We then proceed to discuss the cash flow from operating

(using the indirect method), investing, and financing activities. For courses that require materials on the preparation of cash flow from operating activities using the *direct method*, Learning Objective 6 should be assigned. After working through this chapter, you will have a better understanding of the statement of cash flows and will be able to analyze the cash flows of actual companies.

LEARNING	OBJECTIVES
1 Identify the purposes of the statement of cash flows 2 Distinguish among operating, investing, and financing cash flow activities 3 Prepare cash flows from operating activities using the indirect method 4 Prepare cash flows from investing activities	5 Prepare cash flows from financing activities 6 Prepare cash flows from operating activities using the direct method 7 Evaluate a company's ability to generate cash flows

IDENTIFY THE PURPOSES OF THE STATEMENT OF CASH FLOWS

The Balance Sheet reports financial position, and Balance Sheets from two periods show whether cash increased or decreased. But that doesn't explain *why* the cash balance changed. The Income Statement reports net income and offers clues about cash, but the Income Statement doesn't tell *why* cash increased or decreased. We need a third financial statement.

The **statement of cash flows** reports **cash flows**—cash receipts and cash payments—in other words, where cash came from (receipts) and how it was spent (payments). The statement covers a span of time and, therefore, is labeled “Year Ended December 31, 20X7” or “Month Ended June 30, 20X8.”

IAS 7—*Cash Flow Statements* is the primary accounting standard that provides guidance on this financial statement. The statement of cash flows serves these purposes:

1. *Predicts future cash flows.* Past cash receipts and payments are reasonably good predictors of future cash flows—timing, amount, and certainty. For example, shareholders want dividends on their investments, and creditors demand interest and principal on their loans. The statement of cash flows reports on the ability to make these payments.
2. *Evaluates management decisions.* An entity's ability to adapt to changing circumstances and opportunities depends on its ability to generate funds from operations and raise funds from shareholders and creditors. It also enhances comparability of different entities as it reduces the effects of using different accounting treatments for the same transactions and events.
3. *Shows the relationship of net income to cash flows.* An entity's performance is measured using *accrual accounting*. Under accrual accounting, cash transfers are neither a prerequisite nor evidence of the revenue generation process. Therefore, it is important to understand the relationship between income and cash flows generated over a period of time.

On a statement of cash flows, *cash* means more than just cash in the bank. It includes **cash equivalents**, which are highly liquid short-term investments that can be converted into cash immediately and are not subject to significant risks of changes in value. Examples include money-market accounts and investments in government securities. It may also include bank overdrafts, when used as an integral part of day-to-day cash management of the entity. Throughout this chapter, the term *cash* refers to cash and cash equivalents. Singtel provides this explanation about its cash and cash equivalents.

- 1 Identify** the purposes of the statement of cash flows

ADAPTED EXCERPTS FROM SINGTEL'S NOTES TO THE ACCOUNTS

Cash and Cash Equivalents

For the purpose of the consolidated statement of cash flows, cash and cash equivalents comprise: cash on hand, balances with banks, fixed deposits (with original maturity of mainly three months or less), and net of bank overdrafts that are repayable on demand and form an integral part of the Group's cash management. Bank overdrafts are included under borrowings in the statement of financial position.

Source: From Singtel, Annual Report, 2016, page 143.

Have another look at Singtel's consolidated statement of cash flows on page 630. Let's examine some common features of a cash flow statement:

1. It reports inflows and outflows across three categories: operating activities (lines 3–9), investing activities (lines 11–17), and financing activities (lines 19–23). Inflows are shown as positive numbers, and outflows are shown in brackets to indicate negative numbers.
2. The net cash flow from continuing operations (line 25) is the sum of the three cash flow subtotals (lines 9, 17, and 23).
3. Net cash flow (line 25), plus some other adjustment beyond the scope of this text (in Singtel's case, changes in foreign exchange rates on cash and cash equivalents, line 26), explains the changes in cash and cash equivalent at the beginning of the year (line 27) and at the end of the year (line 28).

How's Your Cash Flow? Telltale Signs of Financial Difficulty

Companies want to earn net income because profit measures success. Without net income, a business sinks. There will be no dividends, and the share price suffers. High net income attracts investors, but you can't pay bills with net income. That requires cash.

A company needs both net income and strong cash flow. Income and cash flow usually move together because net income eventually generates cash. Sometimes, however, net income and cash flow take different paths. To illustrate, consider Fastech Company:

A1		
	A	B
1	Fastech Company Income Statement	Year Ended December 31, 20X6
2	Sales revenue	\$ 100,000
3	Cost of goods sold	30,000
4	Operating expenses	10,000
5	Net income	\$ 60,000
6		

A1				
	A	B	C	D
1	Fastech Company Balance Sheet		December 31, 20X6	
2	Cash	\$ 3,000	Total current liabilities	\$ 50,000
3	Receivables	37,000	Long-term liabilities	20,000
4	Inventory	40,000		
5	PPE, net	60,000	Shareholders' equity	70,000
6	Total assets	\$140,000	Total liabilities and equity	\$140,000
7				

What can we glean from Fastech's Income Statement and Balance Sheet?

- Fastech is profitable. Net income is 60% of revenue. Fastech's profitability looks outstanding.
- The current ratio is 1.6, and the debt ratio is only 50%. These measures suggest little trouble in paying bills.
- Fastech is on the verge of bankruptcy. Can you spot the problem? Can you see what is causing the problem? Three trouble spots leap out to a financial analyst.

1. The cash balance is very low. Three thousand dollars isn't enough cash to pay the bills of a company with sales of \$100,000.
2. Fastech isn't selling inventory fast enough. Fastech turned over its inventory only 0.75 times during the year. As we saw in Chapter 6, inventory turnover rates of 3–8 times a year are common. A turnover ratio of 0.75 times means it takes Fastech far too long to sell its inventory, and that delays cash collections.
3. Fastech's days' sales in receivables is 135 days (see Chapter 5). Very few companies can wait that long to collect from customers.

The key takeaway lesson from this discussion is that you need both income and strong cash flow to succeed in business. Let's turn now to the different categories of cash flows.

DISTINGUISH AMONG OPERATING, INVESTING AND FINANCING CASH FLOW ACTIVITIES

Operating, Investing, and Financing Activities

A business engages in three types of business activities:

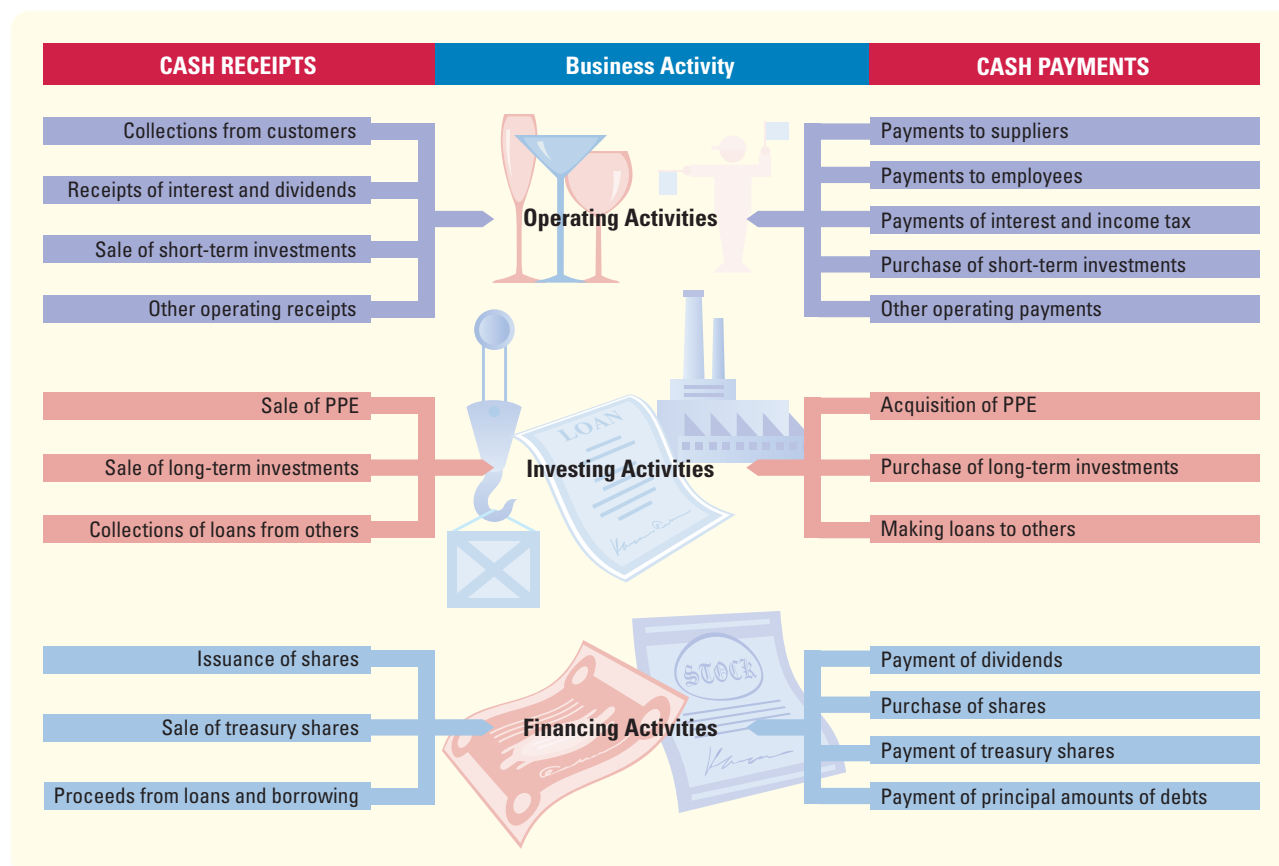
- Operating activities
- Investing activities
- Financing activities

2 Distinguish among operating, investing, and financing cash flow activities

The statement of cash flows reports cash receipts and payments related to these three activities. The major classes of cash receipts and payments are shown in Exhibit 11-1.

Operating activities create revenues, expenses, gains, and losses—*net income*, which is a product of accrual-basis accounting. The statement of cash flows reports on operating activities; thus, it reports principal revenue-generating activities, i.e., transactions and other events that

Exhibit 11-1 Major Classes of Cash Receipts and Cash Payments on the Statement of Cash Flows



enter into determining profit or loss. Operating activities are the most important of the three categories because they reflect the core of the organization. *A successful business must generate most of its cash from operating activities.*

Investing activities increase and decrease noncurrent assets, such as PPE, intangible assets, and investments in other companies. Purchases and sales of these assets are investing activities. Investing activities are important for a company's medium- and long-term operations, as they represent the extent to which investments have been made for resources intended to generate future income and cash flows.

Financing activities obtain cash from, and pay cash to, investors and creditors. Issuing shares, borrowing money, buying and selling treasury shares, and paying cash dividends are financing activities. Paying off a loan is another example. Financing cash flows relates to noncurrent liabilities and shareholders' equity. These activities are important to help readers predict claims on future cash flows by providers of capital to the entity.

» Stop & Think

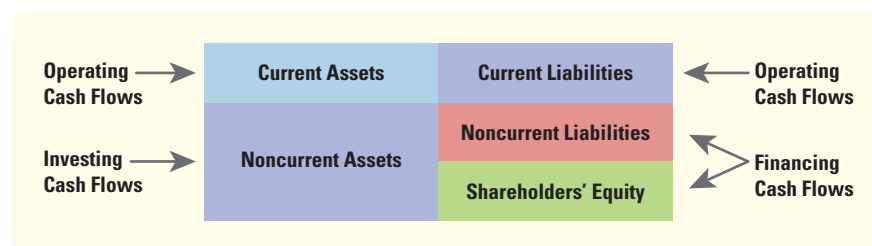
Royal Dutch Shell borrowed €1 billion from Rabobank. The term of the loan requires Shell to make a full payment in three years' time amounting to €1.1 billion, inclusive of interest. How should the cash outflow of €1.1 billion be reported on Shell's cash flow statement?

Answer:

The €1.1 billion outflow actually consists of two components, €1 billion for the loan principal repayment and €0.1 billion for the interest payment. Shell would report a cash outflow of €1 billion under cash flows from financing activities and €0.1 billion interest payments under cash flows from operations.

Exhibit 11-2 shows how operating, investing, and financing activities typically relate to the various parts of the Balance Sheet.

Exhibit 11-2 | How Operating, Investing, and Financing Cash Flows Affect the Balance Sheet



Singtel's statement of cash flows reports cash flows under these three headings, as shown earlier. For the year ended March 31, 20X6, Singtel generated \$4,648 million from operating activities, and used \$2,740 and \$2,044 million for investing and financing activities, respectively. You can also see the pattern of cash flows over the three years provided. These figures show that:

- Cash flows from operations (line 9) are consistently Singtel's largest source of cash inflows and they have been very reasonably consistent over the three years.
- Singtel is consistently investing in the future, with its biggest cash flow item over the three years being the capital expenditures on property, plant and equipment and intangible assets (line 11) and investments in associates and subsidiaries (line 12).
- Singtel has been refinancing as loans become due (line 19 compared to line 20) and has maintained its dividend payments (line 21).



A Closer Look

You may see some companies' cash flow items not being categorized in the same way we have done it in Exhibit 11-1, which is the most common way of classifying cash flow items. *IAS 7* allows for alternative classifications, "in a manner which is most appropriate to its business . . . in a consistent manner." *IAS 7* provides guidance on some of these alternatives:

- Interest paid, usually categorized as an operating cash flow item, may be classified as financing cash flow items or investing cash flows.
- Interest and dividends received, usually classified as operating cash flow items, may be classified as investing cash flow items.
- Dividends paid, usually categorized as a financing cash flow item, may be classified as cash flow from operations.
- Taxes paid, usually categorized as an operating cash flow item, may be classified as investing or financing activities (if it can be tied to an individual transaction that gives rise to such activities).

For the purposes of learning cash flow items, we will use the "usual" classifications of cash flow items, i.e., interest paid, interest and dividends received, taxes paid as operating cash flows, and dividends paid as financing cash flows. But remember that when you look at companies' real financial statements, you may see alternative placements of these items.

Two Formats for Operating Activities

IAS 7 requires an entity to report cash flows from operating activities using one of two methods:

1. **Indirect method**, which reconciles from net income to net cash provided by operating activities.
2. **Direct method**, which reports all cash receipts and cash payments from operating activities.

How do the two methods differ? The two methods use different computations, but they produce the same figure for cash flows from *operating activities*. The two methods do not affect *investing* or *financing activities*, which are prepared similarly to the direct method, by the reporting of major classes of cash receipts and payments in their respective activities.

A simple analogy provides a good explanation of the two methods. Suppose you are given a series of numbers: 2, 3, 5, 7, and 8, which totals 25. You are then asked to sum the prime numbers in the sequence. There are clearly two methods of doing this. You could identify the prime numbers, in this case 2, 3, 5, and 7 and sum them, and the answer would be 17. This is the direct method, where you identify the items (or cash flows) and then add them up. Alternatively, since you know the total of the series was 25, and 8 is the only number that is not a prime number, you could arrive at the same answer by making use of this total, i.e., $25 - 8 = 17$. The indirect method makes use of a total (in cash flow terms, it would be your net income, a total of revenues less expenses in your Income Statement) and adjusts for items that are not prime, to arrive at the same answer. Note that 25 is not prime, neither is 8, but yet you get the 17 as the sum of prime numbers in the sequence.

IAS 7 actually advocates for the direct method because it provides information which may be useful in estimating future cash flows that is not available under the indirect method. However, this is not heeded by most companies which mostly prepare their cash flow statements using the indirect method.

The following summarizes the differences between the indirect and direct methods:

Indirect Method		Direct Method	
Net income.....	\$600	Collections from customers	\$2,000
<i>Adjustments:</i>		<i>Deductions:</i>	
Depreciation, etc.	<u>300</u>	Payments to suppliers, etc.	<u>(1,100)</u>
Net cash provided by operating activities	\$900	Net cash provided by operating activities	\$ 900
		same	

Exhibit 11-3 TRF's Income Statement

A1	A	B	C
	The Roadster Factory, Inc. (TRF)	Year Ended	
	Income Statement	December 31, 20X7	
1			
2	(In thousands of \$)		
3	Revenues and gains:		
4	Sales revenue	\$ 303	
5	Interest revenue	2	
6	Gain on sale of PPE	8	
7	Total revenues and gains		\$ 313
8	Expenses:		
9	Cost of goods sold	\$ 150	
10	Salary and wage expense	56	
11	Depreciation expense	18	
12	Other operating expense	17	
13	Income tax expense	15	
14	Interest expense	7	
15	Total expenses		263
16	Net income		\$ 50
17			

Exhibit 11-4 TRF's Balance Sheet

A1	A	B	C	D
	The Roadster Factory, Inc. (TRF)	12 Months Ended		
	Comparative Balance Sheets			
1				
2	(In thousands of \$)	Dec. 31,	Dec. 31,	Increase
3	Assets	20X7	20X6	(Decrease)
4	Current:			
5	Cash	\$ 34	\$ 42	\$ (8)
6	Accounts receivable	96	81	15
7	Inventory	35	38	(3)
8	Prepaid expenses	8	7	1
9	Notes receivable	21	—	21
10	PPE, net	343	219	124
11	Total	\$ 537	\$ 387	\$ 150
12	Liabilities			
13	Current:			
14	Accounts payable	\$ 91	\$ 57	\$ 34
15	Salary and wage payable	4	6	(2)
16	Accrued liabilities	1	3	(2)
17	Long-term debt	160	77	83
18	Shareholders' Equity			
19	Ordinary share capital	162	158	4
20	Retained earnings	119	86	33
21	Total	\$ 537	\$ 387	\$ 150
22				

We shall begin with the indirect method since it is the more common method that you are likely to see in financial reports. Singtel's cash flow from operations was prepared using the indirect format. To illustrate the statement of cash flows, we use The Roadster Factory, Inc. (TRF), a dealer in auto parts for sports cars. The Income Statement and Balance Sheet for TRF are shown in Exhibits 11-3 and 11-4, respectively.

PREPARE CASH FLOWS FROM OPERATING ACTIVITIES USING THE INDIRECT METHOD

Earlier you read that *IAS 7* describes operating activities as principal revenue-generating activities, i.e., transactions and other events that determine the profit or loss of an entity. Under the indirect method, this is exactly how we start cash flows from operating activities. The operating section begins with the net income, taken from the Income Statement (see Exhibit 11-3), and is followed by “Adjustments to reconcile net income to net cash provided by operating activities.” These adjustments include items that are *not* cash flows, just like our simple analogy earlier uses the number 8 (from the series of 2, 3, 5, 7, 8) to determine the sum of the prime numbers. Let's discuss these adjustments.

To make it easier for our discussion, let's have a look at a template for the preparation of cash flow from operating activities using the indirect method (see Exhibit 11-5).

3 Prepare cash flows from operating activities using the indirect method

Exhibit 11-5 | Template for Cash Flows from Operating Activities: Indirect Method

A1	
A	
	The Roadster Factory, Inc. (TRF)
	Statement of Cash Flows (Partial)
	Year Ended December 31, 20X7
1	
2	Cash flows from operating activities
3	Net income
4	Adjustments to reconcile net income to net cash provided by operating activities:
5	+ Depreciation/depletion/amortization expense
6	+ Loss on sale of long-term assets
7	– Gain on sale of long-term assets
8	– Increases in current assets other than cash
9	+ Decreases in current assets other than cash
10	+ Increases in current liabilities
11	– Decreases in current liabilities
12	Net cash provided by (used for) operating activities
13	

Proceed as follows to prepare the statement of cash flows from the operating activities (or “CFO”) section of the statement of cash flows by using the indirect method:

- Step 1** Start with net income from TRF's Income Statement (Exhibit 11-3). The indirect method always starts with a summary number from the Income Statement. We use net income in our example here, but sometimes you may see companies using pre-tax income. If a company starts the indirect method with profit before tax, it will need to show a separate line on “income taxes paid” after Step 5.
- Step 2** From the Income Statement (Exhibit 11-3), add back depreciation, depletion, and amortization expense, and remove any gains (or add back losses) on the sale of long-term assets.
- Step 3** Examine the Balance Sheet (Exhibit 11-4) and identify the changes in current assets and current liabilities (usually referred to as “changes in working capital”), except for cash and cash equivalents.
- Step 4** Deduct increases in current assets other than cash and add decreases in current assets other than cash.
- Step 5** Deduct decreases in current liabilities and add increases in current liabilities.

If you have completed the five steps using the exhibits above, you will probably have obtained something like Exhibit 11-6 below.

Exhibit 11-6 Statement of Cash Flows: Operating Activities by the Indirect Method

A1			
	A	B	C
1	The Roadster Factory, Inc. (TRF)		Year Ended
2	Statement of Cash Flows (Partial, Indirect Method)		December 31, 20X7
3	(In thousands)		
4	Cash flows from operating activities:		
5	Net income		\$ 50
6	Adjustments to reconcile net income to net cash provided by operating activities:		
7	(A) Depreciation	\$ (18)	
8	(B) Gain on sale of PPE	(8)	
9	Increase in accounts receivable	(15)	
10	Decrease in inventory	3	
11	Increase in prepaid expenses	(1)	
12	(C) Increase in accounts payable	34	
13	Decrease in salary and wage payable	(2)	
14	Decrease in accrued liabilities	(2)	27
15	Net cash provided by operating activities		\$ 77
16			

Understanding Reconciliation of Net Income to Cash Flows from Operations

Ⓐ **Depreciation, Depletion, and Amortization Expenses.** These expenses are added back to net income to convert net income to cash flow. In fact, all noncash expenses are added back, including any impairment charges reported on the Income Statement (see Chapter 7's discussion on impairment of assets). Let's see why. Depreciation is recorded as follows:

A1			
	A	B	D
1	Depreciation Expense	18,000	
2	Accumulated Depreciation		18,000
3			

Depreciation, recorded as Depreciation Expense, has no effect on cash. But depreciation, like all other expenses, decreases net income. Therefore, to convert net income to cash flows, we add depreciation back to net income. The add-back cancels the earlier deduction.

Example: Suppose you had only two transactions, a \$1,000 cash sale and depreciation expense of \$300. Cash flow from operations is \$1,000, and net income is \$700 (\$1,000 – \$300). To go from net income (\$700) to cash flow (\$1,000), we add back the depreciation (\$300). Depletion and amortization are treated like depreciation.

Have another look at Singtel's statement of cash flows at the start of this chapter. You will see that Line 5 was the addition of depreciation and amortization back to net profit, the first step under the indirect method.

Ⓑ **Gains and Losses on the Sale of Long-term Assets.** Sales of long-term assets are *investing* activities. However, the resulting gains (or losses) from the sales have been included in the determination of income. Therefore, to avoid double counting, we will need to adjust the net income. Losses are added back to net income, and gains are deducted from net income. For TRF, we deduct the \$8 gain on sale of PPE (shown on the Income Statement) away from net income under the indirect method.

In the Singtel's example, you can see line 6 removes gain (and adds back loss) from the sale of long-term assets back to profit as part of the indirect method.

Ⓒ **Changes in the Current Asset and Current Liability Accounts.** Most current assets and current liabilities result from operating activities. For example, accounts receivable result

from sales, inventory relates to cost of goods sold, and so on. Changes in the current accounts are adjustments to net income under the indirect method. The reasoning is as follows:

1. *An increase in another current asset decreases cash.* It takes cash to acquire assets. Suppose you make a sale on account. Accounts receivable are increased, but cash isn't affected yet. Exhibit 11-4 reports that during 20X7, The Roadster Factory's Accounts Receivable increased by \$15,000. To compute cash flow from operations, we must subtract the \$15,000 increase in Accounts Receivable, as shown in Exhibit 11-6. The reason is this: We have *not* collected this \$15,000 in cash. Similar logic applies to all the other current assets. If they increase, cash decreases.
2. *A decrease in another current asset increases cash.* Suppose TRF's Accounts Receivable balance decreased by \$4,000. Cash receipts caused Accounts Receivable to decrease, so we add decreases in Accounts Receivable and the other current assets to net income.
3. *A decrease in a current liability decreases cash.* Payment of a current liability decreases both cash and the liability, so we subtract decreases in current liabilities from net income. In Exhibit 11-6, the \$2,000 decrease in Accrued Liabilities is *subtracted* to compute net cash provided by operations.
4. *An increase in a current liability increases cash.* The Roadster Factory's Accounts Payable increased. That can occur only if cash was not spent to pay this debt. Cash payments are therefore less than expenses and TRF has more cash on hand. Thus, increases in current liabilities increase cash.

In the Singtel example, the working capital adjustments were summarized in line 7. Singtel's actual statement of cash flows shows increases and decreases in current assets and current liabilities as adjustments to profit using the indirect method.



A Closer Look

As mentioned earlier, you may see some companies start with "net income before tax" rather than "net income after tax" at the top of their statement of cash flows. This is typically because of a requirement to explicitly disclose how much a company pays for tax during the year. If we have done this for TRF, we would have the following CFO:

A1	A	B	C
	The Roadster Factory, Inc. (TRF)	Year Ended	
	Statement of Cash Flows (Partial, Indirect Method)	December 31, 20X6	
1			
2	(In thousands)		
3	Cash flows from operating activities:		
4	Net income before tax		\$ 65
5	Adjustments to reconcile net income to net cash		
6	provided by operating activities:		
7	Depreciation	\$ 18	
8	Gain on sale of PPE	(8)	
9	Increase in accounts receivable	(15)	
10	Decrease in inventory	3	
11	Increase in prepaid expenses	(1)	
12	Increase in accounts payable	34	
13	Decrease in salary and wage payable	(2)	
14	Decrease in accrued liabilities	(2)	27
15	Income tax paid		(15)
16	Net cash provided by operating activities		\$ 77
17			

In this example, the income tax paid equals income tax expense because there were no income tax payable balances at either the beginning or ending of the year. Had there been any income tax payable balances, they would affect the income tax paid and not be included in the changes in working capital adjustments. See Exhibit 11-14? (later) for calculations of income tax paid.

Evaluating Cash Flows from Operating Activities. Let's step back and evaluate TRF's operating cash flows during 20X7. TRF's operations provided net cash flow of \$77,000. This amount exceeds net income, which is one sign that TRF was able to translate profitability to cash generations.

If you want to immediately compare the indirect method above with the direct method, you can take a detour to pages 649–655, and then return here to continue with the other cash flow activities.

PREPARE CASH FLOWS FROM INVESTING ACTIVITIES

4 Prepare cash flows from investing activities

Cash flows from investing activities (or "CFI") basically revolve around the cash inflows and outflows related to long-term assets of the entity. Exhibit 11-1 showed us that the major classes of cash receipts include sale of PPE and other noncurrent assets, sale of long-term investments, and collections of loans to others; the outflows are typically for acquisition of PPE and other noncurrent assets, purchase of long-term investments, and making loans to others.

Most of the data for this section are from TRF's Balance Sheet (refer to Exhibit 11-4). Let's calculate the cash flow items under this category (remember, you don't have shortcuts like the CFO's indirect method for CFI).

Computing Purchases and Sales of PPE. Companies keep a separate account for each item of PPE. But for computing cash flows, it is helpful to combine all the PPE items into a single summary account. Also, we subtract accumulated depreciation and use the net figure. It's easier to work with a single PPE account.

To illustrate, observe the following:

- TRF's Balance Sheet reports beginning PPE, net of accumulated depreciation, of \$219,000. The ending balance is \$343,000 (Exhibit 11-4).
- TRF's Income Statement shows a depreciation expense of \$18,000 and an \$8,000 gain on sale of PPE (Exhibit 11-3).

TRF's purchases of PPE during the year totaled \$196,000 (we shall take this as given). How much, then, are the proceeds from the sale of PPE? To do this, you must remember that (1) proceeds less book value of assets sold are equal to gain on disposal, and (2) the change in net PPE is caused by addition of new PPE, depreciation charge for the period, and the book value of PPE sold. So, let's first determine the book value of the PPE sold, as follows:

PPE, Net								
Beginning balance	+	Acquisitions	–	Depreciation	–	Book value of assets sold	=	Ending balance
\$219,000	+	\$196,000	–	\$18,000		–X	=	\$343,000
						–X	=	\$343,000 – \$219,000 – \$196,000 + \$18,000
						X	=	\$54,000

The sale proceeds are \$62,000, determined as follows:

Sale proceeds	=	Book value of assets sold	+	Gain	–	Loss
X	=	\$54,000	+	\$8,000	–	\$0
X	=	\$62,000				

The PPE T-account provides another look at the computation of the book value of the assets sold.

PPE, Net			
Beginning balance	219,000	Depreciation	18,000
Acquisitions	196,000	Book value of assets sold	54,000
Ending balance	343,000		

If the sale had resulted in a loss of \$3,000 instead, the sale proceeds would be \$51,000 (\$54,000 – \$3,000), and the statement of cash flows would report \$51,000 as a cash receipt from this investing activity.

Computing Purchases and Sales of Investments, and Loans and Collections. The cash amounts of investment transactions can be computed in the manner illustrated for PPE. Investments are easier because there is no depreciation, as shown in the following equation:

Investments (amounts assumed for illustration only)

Beginning balance	+	Purchases	–	Book value of investments sold	=	Ending balance
\$100,000	+	\$50,000		–X	=	\$140,000
				–X	=	\$140,000 – \$100,000 – \$50,000
				X	=	\$10,000

The Investments T-account provides another look (amounts assumed).

Investments			
Beginning balance	100,000		
Purchases	50,000	Book value of investments sold	10,000
Ending balance	140,000		

The Roadster Factory has a long-term receivable, and the cash flows from loan transactions on notes receivable can be determined as follows (data from Exhibit 11-4):

Notes Receivable

Beginning balance	+	New loans made	–	Collections	=	Ending balance
\$0	+	X		–0	=	\$21,000
		X			=	\$21,000

Notes Receivable

Beginning balance	0		
New loans made	21,000	Collections	0
Ending balance	21,000		

Exhibit 11-7 shows the statement of cash flows, and Exhibit 11-8 summarizes the cash flows from investing activities, highlighted in color.

Exhibit 11-7 Statement of Cash Flows: Investing Activities

A1			
A		B	C
The Roadster Factory, Inc. (TRF)		Year Ended	
Statement of Cash Flows (Partial)		December 31, 20X7	
1			
2	(In thousands)		
3	Cash flows from operating activities:		
4	Acquisition of PPE	\$ (196)	
5	Loan to another company	(21)	
6	Proceeds from sale of PPE	62	
7	Net cash used for investing activities		(155)
8			

Exhibit 11-8 Computing Cash Flows from Investing Activities

Receipts							
From sale of PPE	Beginning PPE, net	+	Acquisition cost	–	Depreciation	–	Book value of assets sold = Ending PPE, net
	Cash received	=	Book value of assets sold	+ or –	Gain on sale Loss on sale		
From sale of investments	Beginning investments	+	Purchase cost of investments	–	Cost of investments sold	=	Ending investments
	Cash received	=	Cost of investments sold	+ or –	Gain on sale Loss on sale		
From collection of notes receivable	Beginning notes receivable	+	New loans made	–	Collections	=	Ending notes receivable
Payments							
For acquisition of PPE	Beginning PPE, net	+	Acquisition cost	–	Depreciation	–	Book value of assets sold = Ending PPE, net
For purchase of investments	Beginning investments	+	Purchase cost of investments	–	Cost of investments sold	=	Ending investments
For new loans made	Beginning notes receivable	+	New loans made	–	Collections	=	Ending notes receivable

If you look at Singtel's cash flow from investing activities, you will see that it has been investing in new PPE and intangible assets (line 11), as well as making investments in other companies (line 12). There are some buying and selling of financial assets investments (lines 13 and 14), but they are relatively small compared to lines 11 and 12.

PREPARE CASH FLOWS FROM FINANCING ACTIVITIES

5 Prepare cash flows from financing activities

Cash flows from financing activities (or “CFF”) are those that relate to the capital structure and owners of the entity. Financing activities affect long-term liabilities and equity accounts such as Notes Payable, Bonds Payable, Long-Term Debt, Share Capital, Paid-in Capital in Excess of Par, Treasury Shares, and Retained Earnings. Most of the data are from the Balance Sheet (see Exhibit 11-4).

Exhibit 11-1 showed us that the major classes of cash receipts include issuance of shares, proceeds from selling treasury shares, loans, and borrowings; and the outflows include repurchase of shares (“share buy-back”) either for cancellation or treasury, and repayment of loans and borrowings. Let's work out TRF's cash flows from financing activities.

Computing Issuances and Payments of Long-Term Debt. The beginning and ending balances of Long-Term Debt, Notes Payable, or Bonds Payable come from the Balance Sheet. If either new issuances or payments are known, the other amount can be computed. The Roadster Factory's new debt issuances total \$94,000 (take this amount as given). Debt payments are computed from the Long-Term Debt account (see Exhibit 11-4).

Long-Term Debt (Notes Payable, Bonds Payable)							
Beginning balance	+	Issuance of new debt	–	Payments of debt	=	Ending balance	
\$77,000	+	\$94,000		–X	=	\$160,000	
				–X	=	\$160,000 – \$77,000 – \$94,000	
				X	=	\$11,000	

Long-Term Debt			
		Beginning balance	77,000
Payments	11,000	Issuance of new debt	94,000
		Ending balance	160,000

If the \$94,000 new debt issuance information was not given, we would have naturally assumed that TRF had simply borrowed an additional \$83,000 (i.e., \$160,000 ending balance less \$77,000 beginning balance).

Computing Issuances of Shares and Purchases of Treasury Shares. These cash flows can be determined from the share capital accounts. For example, cash received from issuing shares is computed from Share Capital and Capital in Excess of Par. We use a single summary Share Capital account as we do for PPE. The Roadster Factory data are as follows:

Share capital				
Beginning balance	+	Issuance of new shares	=	Ending balance
\$158,000	+	\$4,000	=	\$162,000

Share Capital			
		Beginning balance	158,000
		Issuance of new shares	4,000
		Ending balance	162,000

This \$4,000 would have been the net impact of the issuances and repurchases of shares. You could have been told in the question that the issuance of shares for the period was \$20,000. You would have noticed that TRF must have bought back some shares, otherwise \$158,000 + \$20,000 would not equal \$162,000. In such situations, TRF must have bought back \$16,000 worth of shares, either for treasury or cancellation.

Computing Dividend Declarations and Payments. If dividend declarations and payments are not given elsewhere, they can be computed. For TRF, this computation is as follows:

Retained Earnings					
Beginning balance	+	Net income	-	Dividend payments	= Ending balance
\$86,000	+	\$50,000	-	-X	= \$119,000
				-X	= \$119,000 - \$86,000 - \$50,000
				X	= \$17,000

The T-account also shows the dividend computation.

Retained Earnings			
Dividend payments	17,000	Beginning balance	86,000
		Net income	50,000
		Ending balance	119,000

Our completed statement of cash flows from financing would look something like that shown in Exhibit 11-9.

Exhibit 11-9 Statement of Cash Flows: Investing Activities

A1			
	A	B	C
	The Roadster Factory, Inc. (TRF)		Year Ended
	Statement of Cash Flows (Partial)		December 31, 20X7
1			
2	(In thousands)		
3	Cash flows from financing activities:		
4	Proceeds from issuance of long-term debt	\$ (94)	
5	Proceeds from issuance of shares	(4)	
6	Payment of long-term debt	(11)	
7	Payment of dividends	(17)	
8	Net cash provided by financing activities		70
9			

Exhibit 11-10 summarizes the cash flows from financing activities, highlighted in color.

Exhibit 11-10 Computing Cash Flows from Financing Activities

Receipts					
From borrowing—issuance of long-term debt	Beginning long-term debt	+	Cash received from issuance of long-term debt	– Payment of debt	= Ending long-term debt
From issuance of share	Beginning share capital	+	Cash received from issuance of new shares	– Share cancellations	= Ending share capital
Payments					
Of long-term debt	Beginning long-term debt	+	Cash received from issuance of long-term debt	– Payment of debt	= Ending long-term debt
To purchase treasury share	Beginning treasury share	+	Purchase cost of treasury shares		= Ending treasury share
Of dividends	Beginning retained earnings	+	Net income	– Dividend payment	= Ending retained earnings

For Singtel, you can see that it has both proceeds from and payments for loans and borrowings during the year (lines 19 and 20). The other significant item in the cash flow from financing section is the dividend payment (line 21).

» Stop & Think

Classify each of the following as an operating activity, an investing activity, or a financing activity as reported on the statement of cash flows prepared by the *indirect* method.

- | | |
|-----------------------|-------------------------|
| a. Issuance of shares | c. Sales revenue |
| b. Borrowing | d. Payment of dividends |

- | | |
|--------------------------------|---|
| e. Purchase of land | i. Sale of equipment |
| f. Purchase of treasury shares | j. Cost of goods sold |
| g. Paying bonds payable | k. Purchase of another company |
| h. Interest expense | l. Making a long-term loan to another company |

Answers:

- | | |
|--------------|--------------|
| a. Financing | g. Financing |
| b. Financing | h. Operating |
| c. Operating | i. Investing |
| d. Financing | j. Operating |
| e. Investing | k. Investing |
| f. Financing | l. Investing |

Completing the Statement of Cash Flows (Indirect CFO)

Now that we have prepared all three categories of cash flow activities, it is time to complete the cash flow statement. Let's assemble what we have done into one single statement and calculate the net cash flows from the three cash flow activities (see Exhibit 11-11). This is often a very stressful time, because if we have done our work carefully, we sure want our net cash flows to reconcile the change in cash on the Balance Sheet.

Exhibit 11-11 Statement of Cash Flows: Indirect Method

A1			
	A	B	C
	The Roadster Factory, Inc. (TRF)	Year Ended	
	Statement of Cash Flows	December 31, 20X7	
1			
2	(In thousands)		
3	Cash flows from operating activities:		
4	Net income		\$ 50
5	Adjustments to reconcile net income to net cash		
6	provided by operating activities:		
7	(A) Depreciation	\$ 18	
8	(B) Gain on sale of PPE	(8)	
9	Increase in accounts receivable	(15)	
10	Decrease in inventory	3	
11	(C) Increase in prepaid expenses	(1)	
12	Increase in accounts payable	34	
13	Decrease in salary and wage payable	(2)	
14	Decrease in accrued liabilities	(2)	27
15	Net cash provided by operating activities		77
16	Cash flows from investing activities:		
17	Acquisition of PPE	\$ (196)	
18	Loan to another company	(21)	
19	Proceeds from sale of PPE	62	
20	Net cash used for investing activities		(155)
21	Cash flows from financing activities:		
22	Proceeds from issuance of long-term debt	\$ 94	
23	Proceeds from issuance of shares	4	
24	Payment of long-term debt	(11)	
25	Payment of dividends	(17)	
26	Net cash provided by financing activities		70
27	Net (decrease) in cash		\$ (8)
28	Cash balance, December 31, 20X6		42
29	Cash balance, December 31, 20X7		\$ 34
30			

As you can see, we did a pretty good job! The net cash flows for the period show a decrease of \$8,000, which explains why TRF's cash went from \$42,000 to \$34,000. What does the statement of cash flow tell us? TRF was able to generate cash flow from operating activities, which is used (together with some borrowings) to expand its investments in new PPE. Reflect on TRF's financial position (its Balance Sheet, Exhibit 11-4) and financial performance (its Income Statement, Exhibit 11-5). While they were your source data for the cash flow statement, the insights you get from the cash flow statement clearly supplement what you already have.

Noncash Investing and Financing Activities

Companies sometimes make investments that do not require cash. They may also obtain financing other than cash. Alternatively, they may sell assets for noncash considerations, akin to “swapping” one asset for another. Our TRF working example has none of these noncash investing and financing transactions. Now suppose TRF issued shares valued at \$300,000 to acquire a warehouse. The Roadster Factory would journalize this transaction as follows:

A1			
	A	B	C
1		Warehouse Building	300,000
2		Share Capital	
3			300,000

This transaction would not be reported as a cash payment because TRF paid no cash. But the investment in the warehouse and the issuance of shares are important. These noncash investing and financing activities can be reported in a separate schedule under the statement of cash flows. Exhibit 11-12 illustrates noncash investing and financing activities (all amounts are assumed).

Exhibit 11-12 | Noncash Investing and Financing Activities (All Amounts Assumed)

A1		
	A	B
1		Thousands
2	Noncash Investing and Financing Activities:	
3	Acquisition of building by issuing shares	\$ 300
4	Acquisition of land by issuing note payable	70
5	Payment of long-term debt by issuing shares	100
6	Total noncash investing and financing activities	\$ 470
7		

For example, Singtel provided this additional note regarding a noncash transaction.

ADAPTED EXCERPTS FROM SINGTEL'S NOTES TO THE ACCOUNTS

Noncash Transactions

In March 2016, Singtel received a dividend distribution of S\$60 million from NetLink Trust, a wholly owned associate of Singtel, which was offset against an amount due to NetLink Trust.

In October 2014, Singtel sold certain infrastructure assets to NetLink Trust for an aggregate consideration of S\$280 million. The aggregate consideration paid by NetLink Trust was financed by an interest-bearing loan from Singtel.

Source: From Singtel, Annual Report, 2016, page 136.

Now let's apply what you've learned about the statement of cash flows prepared by the indirect method.

Mid-Chapter

Summary Problem

Lucas Corporation reported the following Income Statement and comparative Balance Sheets, along with transaction data for 20X7:

A1			
	A	B	C
1	Lucas Corporation Income Statement	Year Ended December 31, 20X7	
2	Sales revenue		\$ 662,000
3	Cost of goods sold		560,000
4	Gross profit		102,000
5	Operating expenses		
6	Salary expenses	\$ 46,000	
7	Depreciation expense—equipment	7,000	
8	Amortization expense—patent	3,000	
9	Rent expense	2,000	
10	Total operating expenses		58,000
11	Income from operations		44,000
12	Other items:		
13	Loss on sale of equipment		(2,000)
14	Income before income tax		42,000
15	Income tax expense		16,000
16	Net income		\$ 26,000
17			

A1						
	A	B	C	D	E	F
1	Lucas Corporation	December 31				
	Comparative Balance Sheets					
2	Assets	20X7	20X6	Liabilities	20X7	20X6
3	Current:			Current:		
4	Cash and cash equivalents	\$ 19,000	\$ 3,000	Accounts payable	\$ 35,000	\$ 26,000
5	Accounts receivable	22,000	23,000	Accrued liabilities	7,000	9,000
6	Inventories	34,000	31,000	Income tax payable	10,000	10,000
7	Prepaid expenses	1,000	3,000	Total current liabilities	52,000	45,000
8	Total current assets	76,000	60,000	Long-term note payable	44,000	—
9	Long-term investments	18,000	10,000	Bonds payable	40,000	53,000
10	Equipment, net	67,000	52,000	Owners' Equity		
11	Patent, net	44,000	10,000	Share capital	52,000	20,000
12				Retained earnings	27,000	19,000
13				Less: Treasury shares	(10,000)	(5,000)
14	Total assets	\$ 205,000	\$ 132,000	Total liabilities and equity	\$ 205,000	\$ 132,000
15						

Transaction Data for 20X7:

Purchase of equipment	\$ 98,000	Issuance of long-term note payable	
Payment of cash dividends	18,000	to purchase patent.....	\$ 37,000
Issuance of shares to retire bonds payable	13,000	Issuance of long-term note payable to borrow cash	7,000
Purchase of long-term investment.....	8,000	Issuance of shares for cash	19,000
Purchase of treasury shares	5,000	Sale of equipment (book value, \$76,000)	74,000

Requirement

Prepare Lucas Corporation's statement of cash flows (indirect method) for the year ended December 31, 20X7. Follow the four steps outlined below. For Step 4, prepare a T-account to show the transaction activity in each long-term Balance Sheet account. For each PPE, use a single account, net of accumulated depreciation (for example: Equipment, Net).

- Step 1** Lay out the template of the statement of cash flows.
Step 2 From the comparative Balance Sheet, determine the increase in cash during the year, \$16,000.
Step 3 From the Income Statement, take net income, depreciation, amortization, and the loss on sale of equipment to the statement of cash flows.
Step 4 Complete the statement of cash flows. Account for the year-to-year change in each Balance Sheet account.

Answer

A1			
	A	B	C
	Lucas Corporation	Year Ended	
	Statement of Cash Flows	December 31, 20X7	
1			
2	Cash flows from operating activities:		
3	Net income		\$ 26,000
4	Adjustments to reconcile net income to		
5	net cash provided by operating activities:		
6	Depreciation	\$ 7,000	
7	Amortization	3,000	
8	Loss on sale of equipment	2,000	
9	Decrease in accounts receivable	1,000	
10	Increase in inventories	(3,000)	
11	Decrease in prepaid expenses	2,000	
12	Increase in accounts payable	9,000	
13	Decrease in accrued liabilities	(2,000)	19,000
14	Net cash provided by operating activities		45,000
15	Cash flows from investing activities:		
16	Purchase of equipment	\$ (98,000)	
17	Sale of equipment	74,000	
18	Purchase of long-term investment	(8,000)	
19	Net cash used for investing activities		(32,000)
20	Cash flows from financing activities:		
21	Issuance of shares	\$ 19,000	
22	Payment of cash dividends	(18,000)	
23	Issuance of long-term note payable	7,000	
24	Purchase of treasury share	(5,000)	
25	Net cash provided by financing activities		3,000
26	Net increase in cash		16,000
27	Cash balance, December 31, 20X6		3,000
28	Cash balance, December 31, 20X7		\$ 19,000
29	Noncash investing and financing activities:		
30	Issuance of long-term note payable to purchase patent		\$ 37,000
31	Issuance of shares to retire bonds payable		13,000
32	Total noncash investing and financing activities		\$ 50,000
33			

Long-Term Investments		Equipment, Net		Patent, Net	
Bal.	10,000	Bal.	52,000	Bal.	10,000
	8,000		98,000		37,000
Bal.	18,000		76,000	Bal.	44,000
			7,000		
		Bal.	67,000		
Share Capital		Long-Term Note Payable		Bonds Payable	
	Bal.		Bal.		Bal.
	20,000		0		53,000
	13,000		37,000		
	19,000		7,000	13,000	
	Bal.		Bal.		Bal.
	52,000		44,000		40,000
Retained Earnings		Treasury Shares			
	Bal.		Bal.		
	19,000		5,000		
18,000	26,000		5,000		
	Bal.		Bal.		
	27,000		10,000		

PREPARE CASH FLOWS FROM OPERATING ACTIVITIES USING THE DIRECT METHOD

The direct method is the method advocated by IAS 7 because it provides clearer information about the sources and uses of cash. But very few companies use this method because it requires more computations than the indirect method. Here's an example of a CFO prepared using the direct method.

Cochlear is an Australian-listed company that helps people with difficulties in hearing. Its statement of cash flows is presented using the direct method, which reports the major inflows and outflows of cash from and for operating activities, similar to the items depicted in Exhibit 11-1.

6 Prepare cash flows from operating activities using the direct method

ADAPTED EXCERPTS FROM COCHLEAR'S 2016 STATEMENT OF CASH FLOWS

For years ended 30 June, in thousands of Australian Dollar (A\$)

Cash flows from operating activities	2016	2015
Cash receipts from customers	1,105,512	919,280
Cash paid to suppliers and employees	(834,884)	(694,288)
Grant and other income received	5,461	3,250
Interest received	454	297
Interest paid	(10,745)	(7,627)
Income taxes paid	(80,685)	(32,211)
Net cash provided by operating activities	185,113	188,701

Source: From Cochlear, Annual Report, 2016, page 56.



We shall continue to use The Roadster Factory (TRF) to illustrate the preparation of cash flow from operating activities using the direct method. The direct method will require you to actually calculate each (major class of) cash inflow and cash outflow.

Compute Operating Cash Flows by the Direct Method

To compute operating cash flows by the direct method, we use the Income Statement and the *changes* in the Balance Sheet accounts. Exhibit 11-13 illustrates the process. We reproduce the Income Statement for TRF in Exhibit 11-14 and its comparative Balance Sheet in Exhibit 11-15 for ease of reference.

Exhibit 11-13 Direct Method of Computing Cash Flows from Operating Activities

RECEIPTS / PAYMENTS	Income Statement Account	Change in Related Balance Sheet Account	
RECEIPTS:			
From customers	Sales Revenue	+ Decrease in Accounts Receivable - Increase in Accounts Receivable	
Of interest	Interest Revenue	+ Decrease in Interest Receivable - Increase in Interest Receivable	
PAYMENTS:			
To suppliers	Cost of Goods Sold	+ Increase in Inventory - Decrease in Inventory	
	Operating Expense	+ Increase in Prepaids - Decrease in Prepaids	
To employees	Salary (Wage) Expense	+ Decrease in Salary (Wage) Payable - Increase in Salary (Wage) Payable	
For interest	Interest Expense	+ Decrease in Interest Payable - Increase in Interest Payable	
For income tax	Income Tax Expense	+ Decrease in Income Tax Payable - Increase in Income Tax Payable	

* We thank Professor Barbara Gerrity for suggesting this exhibit.

Exhibit 11-14 The Roadster Factory's Income Statement

A1	A	B	C
	The Roadster Factory, Inc. (TRF)		
	Income Statement		Year Ended
			December 31, 20X7
1			
2	(In thousands of US\$)		
3	Revenues and gains:		
4	Sales revenue	\$ 303	
5	Interest revenue	2	
6	Gain on sale of PPE	8	
7	Total revenues and gains		\$ 313
8	Expenses:		
9	Cost of goods sold	\$ 150	
10	Salary and wage expense	56	
11	Depreciation expense	18	
12	Other operating expense	17	
13	Income tax expense	15	
14	Interest expense	7	
15	Total expenses		263
16	Net income		\$ 50
17			

Exhibit 11-15 | TRF's Balance Sheets

A1				
	A	B	C	D
1	The Roadster Factory, Inc. (TRF)	12 Months Ended		
	Comparative Balance Sheets			
2	(In thousands of US\$)	Dec. 31,	Dec. 31,	Increase
3	Assets	20X7	20X6	(Decrease)
4	Current:			
5	Cash	\$ 34	\$ 42	\$ (8)
6	Accounts receivable	96	81	15
7	Inventory	35	38	(3)
8	Prepaid expenses	8	7	1
9	Notes receivable	21	—	21
10	PPE, net	343	219	124
11	Total	\$ 537	\$ 387	\$ 150
12	Liabilities			
13	Current:			
14	Accounts payable	\$ 91	\$ 57	\$ 34
15	Salary and wage payable	4	6	(2)
16	Accrued liabilities	1	3	(2)
17	Long-term debt	160	77	83
18	Shareholders' Equity			
19	Ordinary share capital	162	158	4
20	Retained earnings	119	86	33
21	Total	\$ 537	\$ 387	\$ 150
22				

Computing Cash Collections from Customers. Collections start with sales revenue (an accrual-basis amount). The Roadster Factory's Income Statement (Exhibit 11-14) reports sales of \$303,000. Accounts receivable increased from \$81,000 at the beginning of the year to \$96,000 at year-end, a \$15,000 increase (Exhibit 11-15). Based on those amounts, cash collections equal \$288,000, as follows. We must solve for cash collections (X):

Accounts Receivable					
Beginning balance	+	Sales	−	Collections	= Ending balance
\$81,000	+	\$303,000		−X	= \$96,000
				−X	= \$96,000 − \$81,000 − \$303,000
				X	= \$288,000

The T-account for Accounts Receivable provides another view of the same computation.

Accounts Receivable			
Beginning balance	81,000		
Sales	303,000	Collections	288,000
Ending balance	96,000		

Accounts Receivable increased, so collections must be less than sales. All collections of receivables are computed this way. Let's turn now to cash receipts of interest revenue. In our example, The Roadster Factory earned interest revenue and collected cash of \$2,000 (because there was no interest receivable in the beginning and at the end of the period). The amounts of interest revenue and cash receipts of interest often differ, and Exhibit 11-13 shows how to make this computation, when necessary.

Computing Payments to Suppliers. This computation includes two parts:

- Payments for inventory
- Payments for operating expenses (other than interest and income tax).

Payments for inventory are computed by converting cost of goods sold to the cash basis. We use Cost of Goods Sold, Inventory, and Accounts Payable. First, we must solve for purchases. All the amounts come from Exhibits 11-14 and 11-15.

Cost of Goods Sold					
Beginning inventory	+	Purchases	–	Ending inventory	= Cost of goods sold
\$38,000	+	X	–	\$35,000	= \$150,000
		X			= \$150,000 – \$38,000 + \$35,000
		X			= \$147,000

Now we can compute cash payments for inventory (Y), as follows:

Accounts Payable					
Beginning balance	+	Purchases	–	Payments for inventory	= Ending balance
\$57,000	+	\$147,000	–	–Y	= \$91,000
				–Y	= \$91,000 – \$57,000 – \$147,000
				Y	= \$113,000

The T-accounts show where the data come from. Start with Cost of Goods Sold.

Cost of Goods Sold				Accounts Payable			
Beg. inventory	38,000	End. inventory	35,000	Payments for inventory	113,000	Beg. bal.	57,000
Purchases	147,000					Purchases	147,000
Cost of goods sold	150,000					End. bal.	91,000

Accounts Payable increased, so payments for inventory are less than purchases.

Computing Payments for Operating Expenses. Payments for operating expenses other than interest and income tax are computed from three accounts: Prepaid Expenses, Accrued Liabilities, and Other Operating Expenses. All TRF data come from Exhibits 11-14 and 11-15.

We can assume that the beginning prepayments will be used in the period and the ending prepayment is what we paid for during the year. Similarly, we can assume that the beginning accrued liabilities will be paid for during the year, and the ending balance will remain owing.

Prepaid Expenses					
Beginning balance	+	Payments	–	Expiration of prepaid expense (assumed)	= Ending balance
\$7,000	+	X	–	\$7,000	= \$8,000
		X			= \$8,000 – \$7,000 + \$7,000
		X			= \$8,000

Accrued Liabilities

Beginning balance	+	Accrual of expense at year-end (assumed)	-	Payments	=	Ending balance
\$3,000	+	\$1,000		-X	=	\$1,000
				-X	=	\$1,000 - \$3,000 - \$1,000
				X	=	\$3,000

Other Operating Expenses

Accrual of expense at year-end	+	Expiration of prepaid expense	-	Payments	=	Ending balance
\$1,000	+	\$7,000		X	=	\$17,000
				X	=	\$17,000 - \$1,000 - \$7,000
				X	=	\$9,000
Total payments for operating expenses					=	\$8,000 + \$3,000 + \$9,000
					=	\$20,000

The T-accounts give another picture of the same data.

Prepaid Expenses			Accrued Liabilities			Other Operating Expenses		
Beg. bal.	7,000	Expiration of prepaid expense	7,000	Beg. bal.	3,000	Accrual of expense at year-end	1,000	
Payments	8,000			Accrual of expense at year-end	1,000	Expiration of prepaid expense	7,000	
End. bal.	8,000			End. bal.	1,000	Payments	9,000	
						End. bal.	17,000	

Total payments for operating expenses = \$20,000 (\$8,000 + \$3,000 + \$9,000)

Now we can compute Payments to Suppliers as follows:

$$\begin{array}{rclclcl}
 \text{Payments to Suppliers} & = & \text{Payments for Inventory} & + & \text{Payments for Operating Expenses} \\
 \$133,000 & + & \$113,000 & + & \$20,000
 \end{array}$$

Computing Payments to Employees. It is convenient to combine all payments to employees into one account, Salary and Wage Expense. We then adjust the expense for the change in Salary and Wage Payable, as shown here:

Salary and Wage Payable

Beginning balance	+	Salary and wage expense	-	Payments	=	Ending balance
\$6,000	+	\$56,000		-X	=	\$4,000
				-X	=	\$4,000 - \$6,000 - \$56,000
				X	=	\$58,000

Salary and Wage Payable	
Payments to employees	58,000
Beginning balance	6,000
Salary and wage expense	56,000
Ending balance	4,000

Computing Payments of Interest and Income Taxes. The Roadster Factory's expense and payment amounts are the same for interest and income tax (because interest payable and tax payable balances are zero), so no analysis is required. If the expense and the payment differ, the payment can be computed as shown in Exhibit 11-13.

Let's put the direct method of cash flow from operations all together.

A1			
	A	B	C
	The Roadster Factory, Inc. (TRF)	For Year Ended	
	Statement of Cash Flows (Partial, Direct Method)	December 31, 20X7	
1			
2	(In thousands of \$)		
3	Cash flows from operating activities:		
4	Receipts:		
5	Collections from customers	\$ 288	
6	Interest received	2	
7	Total cash receipts		\$ 290
8	Payments:		
9	To suppliers	\$ (133)	
10	To employees	(58)	
11	For income tax	(15)	
12	For interest	(7)	
13	Total cash payments		(213)
14	Net cash provided by operating activities		77
15			

As you can see, the cash flow from operating activities is \$77,000, the same result obtained earlier using the indirect method (Exhibit 11-6). Remember both methods give you the same cash flows from operating activities; they are just derived differently, one by identifying the actual cash flows, and the other by a reconciliation of net income to CFO.

» Stop & Think

Fidelity Company reported the following for 20X7 and 20X6 (in millions):

At December 31	20X7	20X6
Receivables, net.....	\$3,500	\$3,900
Inventory.....	5,200	5,000
Accounts payable.....	900	1,200
Income taxes payable	600	700

Year Ended December 31	20X7
Revenues.....	\$23,000
Cost of goods sold	14,100
Income tax expense.....	900

Based on these figures, how much cash did:

- Fidelity collect from customers during 20X7?
- Fidelity pay for inventory during 20X7?
- Fidelity pay for income taxes during 20X7?

Answers:

$$\begin{array}{rccclclcl} & & \text{Beginning} & + & \text{Revenues} & - & \text{Collections} & = & \text{Ending} \\ & & \text{Receivables} & & & & & & \text{Receivables} \\ \text{Collections from} & = & \$3,900 & + & \$23,000 & - & & = & \$3,500 \\ \text{customers} & & & & & & & & \end{array}$$

$$\begin{array}{rccclclcl} & & \text{Cost of} & + & \text{Increase in} & - & \text{Decrease in} & & \\ & & \text{Goods Sold} & & \text{Inventory} & & \text{Accounts Payable} & & \\ \text{Payments for} & = & \$14,100 & + & (\$5,200 - \$5,000) & + & (\$1,200 - \$900) & & \\ \text{inventory} & & & & & & & & \end{array}$$

$$\begin{array}{rccclclcl} & & \text{Beginning Income} & + & \text{Income} & - & & = & \text{Ending Income} \\ & & \text{Taxes Payable} & & \text{Tax Expense} & & & & \text{Taxes Payable} \\ \text{Payment of} & = & \$700 & + & \$900 & - & & = & \$600 \\ \text{income taxes} & & & & & & & & \end{array}$$

EVALUATE A COMPANY'S ABILITY TO GENERATE CASH FLOWS

Analysts find the statement of cash flows more helpful for spotting weaknesses than for gauging successes. Why? Because a *shortage* of cash can throw a company into bankruptcy, but lots of cash doesn't ensure success. What do you think of the following statement of cash flows?

7 Evaluate a company's ability to generate cash flows

A1			
	A	B	C
	Enix Corporation	Year Ended	
	Statement of Cash Flows	June 30, 20X6	
1			
2	(In millions of \$)		
3	Operating activities:		
4	Net income		\$ 35,000
5	Adjustments for noncash items:		
6	Depreciation	\$ 14,000	
7	Net increase in current assets other than cash	(24,000)	
8	Net increase in current liabilities	8,000	(2,000)
9	Net cash provided by operating activities		33,000
10	Investing activities:		
11	Sale of property, plant and equipment	\$ 91,000	
12	Net cash provided by investing activities		91,000
13	Financing activities:		
14	Borrowing	\$ 22,000	
15	Payment of long-term debt	(90,000)	
16	Purchase of treasury shares	(9,000)	
17	Payment of dividends	(23,000)	
18	Net cash used for financing activities		(100,000)
19	Increase (decrease) in cash		\$ 24,000
20			

Perhaps some of your observations include the following points:

- Enix's operations provide less cash than net income. That's strange. Ordinarily, cash provided by operations exceeds net income because of the add-back of depreciation and amortization. The increases in current assets and current liabilities should cancel out over time. For Enix Corporation, current assets increased far more than current liabilities during the year. This may be harmless, but it may signal difficulty in collecting receivables or selling inventory. Either event will cause trouble.
- The sale of PPE is Enix's major source of cash. This is okay if this is a one-time situation. Enix may be shifting from one line of business to another, and it may be selling off old assets. But if the sale of long-term assets is the major source of cash for several periods, Enix will face a cash shortage. A company can't sell off its PPE forever. Soon it will go out of business.
- The only strength shown by the statement of cash flows is that Enix paid off more long-term debt than it did new borrowing. This will improve the debt ratio and Enix's credit standing.

Here are some cash-flow signs of a healthy company:

- Operations are the major *source* of cash (not a *use* of cash).
- Investing activities include more purchases than sales of long-term assets.
- Financing activities are not dominated by new loans and borrowings.



DECISION GUIDELINES

Evaluating Cash Flow Activities

Cash flows offer insights into how a company is performing. If you see a company exhibiting the following cash flow patterns over a few years, the explanations provided in the table may give you additional insight about the company.

CFO	CFI	CFF	Possible Explanation
+	+	+	Building up cash reserves, possibly looking for an acquisition.
+	–	–	Operating cash flow being used to buy long-term assets and reduce debt.
+	+	–	Operating cash flow and sale of long-term assets being used to pay down debt.
+	–	+	Operating cash flow and borrowed money being used to expand.
–	+	+	Operating cash flow problems covered by sale of long-term assets, borrowing, and contributions from shareholders.
–	–	+	Rapid growth through purchase of long-term assets, shortfalls in operating cash flow.
–	+	–	Sales of long-term assets is financing operating cash flow shortages.
–	–	–	Using cash reserves to sustain operating cash flow short-falls and pay creditors.

Free Cash Flow

Throughout this chapter, we have focused on cash flows from operating, investing, and financing activities. Some investors want to know how much cash a company can “free up” for new opportunities. **Free cash flow** (Fcf) is the amount of cash available from operations after paying for capital expenditures (typically investments in new PPE). Free cash flow can be computed as follows:

$$\text{Free cash flow} = \text{Net cash provided by operating activities} - \text{Cash payments for investments in PPE}$$

Singtel provided its free cash flow in its annual report as follows.

ADAPTED EXCERPTS FROM SINGTEL'S 2016 ANNUAL REPORT			
Free Cash Flow (in \$million)	2016	2015	2014
Cash flow from operations	4,648	5,787	5,350
Cash capital expenditure	(1,930)	(2,238)	(2,102)
Free Cash Flows	<u>2,718</u>	<u>3,549</u>	<u>3,249</u>

Source: Singtel, Annual Report, 2016, page 100.

Note that you would normally not know the amount of cash payments for capital expenditure. In such a situation, you can use the total long-term asset payments (line 13 of Singtel's statement of cash flows).

Cash Realization Ratio

One cash flow ratio that is becoming more popular is the **cash realization ratio**. This basically measures how much of net profit is reflected in actual cash generated from operations. It can be calculated as a ratio of CFO over net profit. Singtel's cash realization ratio is therefore:

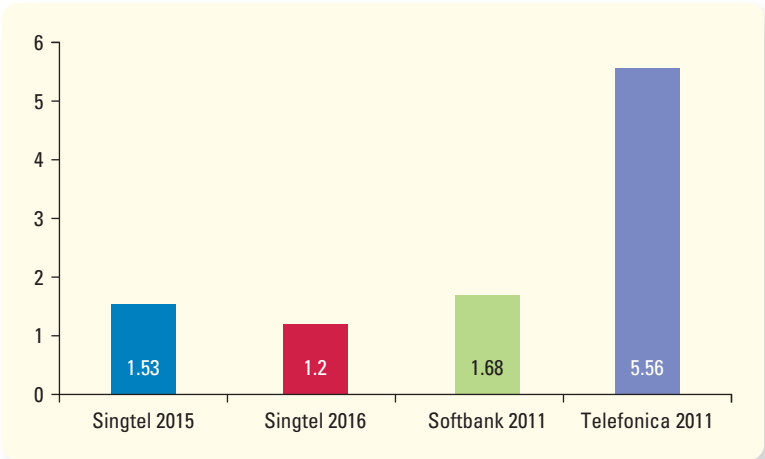
$$CRR = \frac{CFO}{Net Profit}$$

2016	$\frac{4,648}{3,858} = 1.20$
2015	$\frac{5,787}{3,785} = 1.53$

A number greater than 1 is considered a good ability to realize cash from profits. Exhibit 11.16 shows how Singtel performed in comparison to other major companies in the telecommunication industry, such as Softbank and Telefónica. You can see that Singtel's cash-realization ratio has decreased from 1.53 in 2015 to 1.20 in 2016. It is lower than Softbank and Telefónica. While this may not be an immediate concern, a continuous decline in the cash-realization ratio would lead to deterioration in an entity's ability to generate cash.



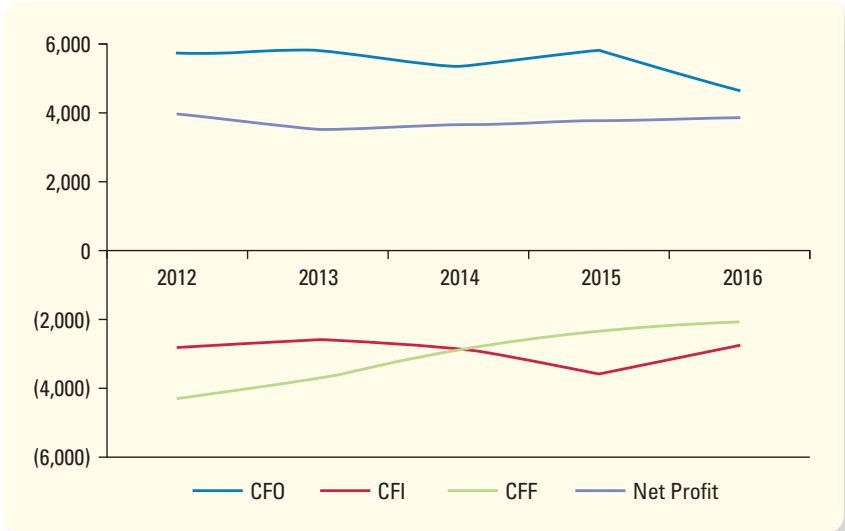
Exhibit 11-16 | Cash Realization Comparisons



Examining Cash Flow Patterns

A company’s cash flows should be examined over a period of time, not just at the end of one fiscal year. One simple but insightful cash flow analysis is to simply plot the cash flow patterns over a number of years. Exhibit 11-17 shows Singtel’s cash flow patterns for the past five years. We have also plotted net profit for the years for comparison.

Exhibit 11-17 | Singtel’s Cash Flow Patterns 2012–2016



» Stop & Think

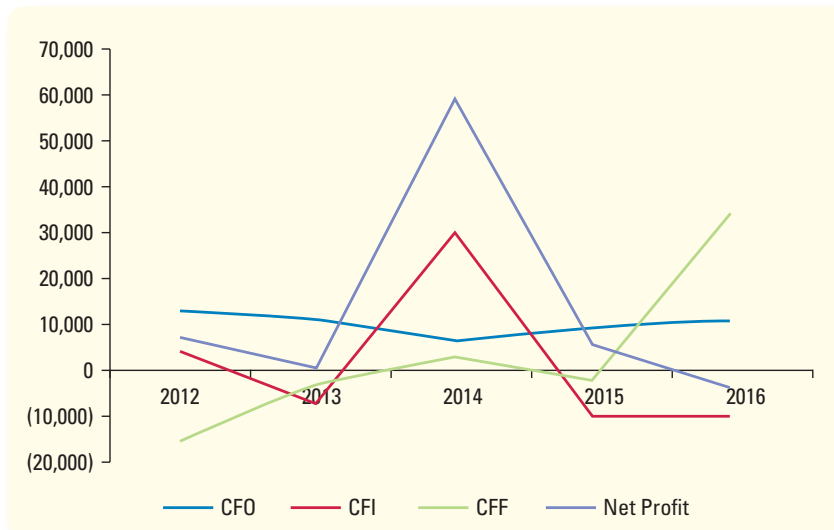
What observations can you make from Singtel's cash flow patterns from X to Y?

Answers:

- There has been little growth in Singtel's net profit over the five years.
- Cash flows from operating activities are on a downward trend, from \$5,710 million in 2012 to \$4,648 million in 2016.
- Cash used for investing activities is stable at about \$2,500 million, with the exception of 2015 when Singtel used over \$3,500 million for investing activities.
- Cash used for financing activities has been getting smaller. When examined together with its dividends (which has remained relatively constant), the only other possible explanation is that Singtel has been raising funds either through borrowings or issuance of shares.

If you compare Singtel's cash flow patterns, presented in Exhibit 11-17, with a company like Vodafone, presented in Exhibit 11-18, you will see that Singtel's cash flows are more stable than Vodafone's.

Exhibit 11-18 Vodafone's Cash Flow Patterns 2012–2016





DECISION GUIDELINES

INVESTORS’ AND CREDITORS’ USE OF CASH-FLOW AND RELATED INFORMATION

Jan Childres is a private investor. Through years of experience she has devised some guidelines for evaluating both share investments and bond investments. Childres uses a combination of accrual-accounting data and cash-flow information. Here are her decision guidelines for both investors and creditors.

INVESTORS

Questions	Factors to Consider	Financial Statement Predictor/Decision Model
1. How much in dividends can I expect to receive from an investment in shares?	Expected future net income Expected future cash balance Future dividend policy	Income from continuing operations Net cash flows from CFO, CFI, and CFF Current and past dividend policy
2. Is the share price likely to increase or decrease?	Expected future net income Expected future cash flows from operating activities Cash flows from operations	Income from continuing operations Income from continuing operations Net cash flow from operating activities
3. How much free cash does the company have at its disposal to pursue additional business opportunities?		CFO – Capital expenditure
4. How much cash did the company generate out of its profits?	Cash Realization Ratio	$\frac{\text{CFO}}{\text{Net profit}}$

CREDITORS

Question	Factor to Consider	Financial Statement Predictor
Can the company pay the interest and principal at the maturity of a loan?	Expected future net cash flows from operating activities	Income from continuing operations/ Net cash flow from operating activities

End-of-Chapter

Summary Problem

Adeva Health Foods, Inc., reported the following comparative Balance Sheet and Income Statement for 20X7.

A1	A	B	C
	Adeva Health Foods, Inc.	December 31	
	Comparative Balance Sheets		
1		20X7	20X6
2			
3	Cash	\$ 19,000	\$ 3,000
4	Accounts receivable	22,000	23,000
5	Inventories	34,000	31,000
6	Prepaid expenses	1,000	3,000
7	Equipment, net	90,000	79,000
8	Intangible assets	9,000	9,000
9		<u>\$ 175,000</u>	<u>\$ 148,000</u>
10			
11	Accounts payable	\$ 14,000	\$ 9,000
12	Accrued liabilities	16,000	19,000
13	Income tax payable	14,000	12,000
14	Notes payable	45,000	50,000
15	Share capital	31,000	20,000
16	Retained earnings	64,000	40,000
17	Treasury share	(9,000)	(2,000)
18		<u>\$ 175,000</u>	<u>\$ 148,000</u>
19			

A1	A	B
	Adeva Health Foods, Inc.	Year Ended
	Income Statement	December 31, 20X7
1		
2	Sales revenue	\$ 190,000
3	Gain on sale of equipment	6,000
4	Total revenue and gains	<u>196,000</u>
5	Cost of goods sold	85,000
6	Depreciation expense	19,000
7	Other operating expenses	36,000
8	Total expenses	<u>140,000</u>
9	Income before income tax	56,000
10	Income tax expense	18,000
11	Net income	<u>\$ 38,000</u>
12		

Assume that Berkshire Hathaway Inc. is considering buying Adeva. Berkshire Hathaway requests the following cash-flow data for 20X7. There were no noncash investing and financing activities.

- Collections from customers
- Cash payments for inventory
- Cash payments for operating expenses

- d. Cash payment for income tax
- e. Cash received from the sale of equipment (Adeva paid \$40,000 for new equipment during the year.)
- f. Issuance of shares
- g. Issuance of notes payable (Adeva paid off \$20,000 during the year.)
- h. Cash dividends (There were no share dividends.)

Provide the requested data. Show your work.

Answers

- a. Analyze Accounts Receivable (let X = Collections from customers):

Beginning	+	Sales	–	Collections	=	Ending
\$23,000	+	\$190,000	–	X	=	\$22,000
				X	=	\$191,000

- b. Analyze Inventory and Accounts Payable (let X = Purchases, and let Y = Payments for inventory):

Beginning Inventory	+	Purchases	–	Ending Inventory	=	Cost of Goods Sold
\$31,000	+	X	–	\$34,000	=	\$85,000
		X			=	\$88,000

Beginning Accounts Payable	+	Purchases	–	Payments	=	Ending Accounts Payable
\$9,000	+	\$88,000	–	Y	=	\$14,000
				Y	=	\$83,000

- c. Start with Other Operating Expenses, and adjust for the changes in Prepaid Expenses and Accrued Liabilities:

Other Operating Expenses	– Decrease in Prepaid Expenses	+ Decrease in Accrued Liabilities	=	Payments for Operating Expenses
\$36,000	– \$2,000	+ \$3,000	=	\$37,000

- d. Analyze Income Tax Payable (let X = Payment of income tax):

Beginning	+	Income Tax Expense	–	Payments	=	Ending
\$12,000	+	\$18,000	–	X	=	\$14,000
				X	=	\$16,000

- e. Analyze Equipment, Net (let X = Book value of equipment sold. Then combine with the gain or loss to compute cash received from the sale.)

Beginning	+	Acquisitions	−	Depreciation	−	Book Value Sold	=	Ending
\$79,000	+	\$40,000	−	\$19,000	−	X	=	\$90,000
						X	=	\$10,000

Cash Received from Sale	=	Book Value Sold	+	Gain on Sale
\$16,000	=	\$10,000	+	\$6,000

- f. Analyze Share Capital (let X = Issuance) of shares

Beginning	+	Issuance	=	Ending
\$20,000	+	X	=	\$31,000
		X	=	\$11,000

- g. Analyze Notes Payable (let X = Issuance) of notes payable:

Beginning	+	Issuance	−	Payment	=	Ending
\$50,000	+	X	−	\$20,000	=	\$45,000
		X			=	\$15,000

- h. Analyze Retained Earnings (let X = Dividends) payments

Beginning	+	Net Income	−	Dividends	=	Ending
\$40,000	+	\$38,000	−	X	=	\$64,000
				X	=	\$14,000

REVIEW | Statement of Cash Flows

Quick Check (Answers are given at the end of the chapter.)

- All of the following activities are reported on the statement of cash flows except
 - financing activities.
 - operating activities.
 - investing activities.
 - marketing activities.
- Activities that create long-term liabilities are usually
 - noncash investing and financing activities.
 - investing activities.
 - financing activities.
 - operating activities.
- Activities affecting long-term assets are
 - marketing activities.
 - financing activities.
 - investing activities.
 - marketing activities.

4. In 20X6, PMW Corporation borrowed \$120,000, paid dividends of \$35,000, issued 10,000 shares for \$46 per share, purchased land for \$250,000, and received dividends of \$20,000. Net income was \$160,000, and depreciation for the year totaled \$8,000. How much should be reported as net cash provided by operating activities by the indirect method?
 - a. \$205,000
 - b. \$168,000
 - c. \$230,000
 - d. \$152,000
5. Activities that obtain the cash needed to launch and sustain a company are
 - a. investing activities.
 - b. financing activities.
 - c. marketing activities.
 - d. income activities.
6. The exchange of shares for land
 - a. would be reported as noncash investing and financing activities.
 - b. would be reported as financing activities.
 - c. would not be reported on the statement of cash flows.
 - d. would be reported as investing activities.

Use the following Montana Company information for questions 7–10.

Net income.....	\$50,000	Increase in accounts payable	\$ 10,000
Depreciation expense	12,000	Acquisition of equipment	35,000
Payment of dividends	2,000	Sale of treasury shares	4,000
Increase in accounts receivable.....	9,000	Payment of long-term debt.....	16,000
Collection of long-term notes receivable.....	6,000	Proceeds from sale of land.....	42,000
Loss on sale of land.....	15,000	Decrease in inventories.....	3,000

7. Under the indirect method, net cash provided by operating activities would be
 - a. \$81,000.
 - b. \$73,000.
 - c. \$79,000.
 - d. \$57,000.
8. Net cash provided by (used for) investing activities would be
 - a. \$(1,000).
 - b. \$(13,000).
 - c. \$1,000.
 - d. \$13,000.
9. Net cash provided by (used for) financing activities would be
 - a. \$(14,000).
 - b. \$(18,000).
 - c. \$14,000.
 - d. \$2,000.
10. The cost of land
 - a. must have been \$42,000.
 - b. must have been \$57,000.
 - c. must have been \$27,000.
 - d. cannot be determined from the data given.
11. Sweet Treat Ice Cream began the year with \$80,000 in accounts receivable and ended the year with \$60,000 in accounts receivable. If sales for the year were \$700,000; the cash collected from customers during the year amounted to
 - a. \$760,000.
 - b. \$700,000.
 - c. \$720,000.
 - d. \$680,000.

12. Nassau Farms, Ltd., made sales of \$760,000 and had cost of goods sold of \$410,000. Inventory decreased by \$10,000 and accounts payable decreased by \$12,000. Operating expenses were \$180,000. How much was Nassau Farms's net income for the year?
- | | |
|--------------|--------------|
| a. \$172,000 | c. \$168,000 |
| b. \$170,000 | d. \$350,000 |
13. Use the Nassau Farms data from question 12. How much cash did Nassau Farms pay for inventory during the year?
- | | |
|--------------|--------------|
| a. \$410,000 | c. \$422,000 |
| b. \$400,000 | d. \$412,000 |

Accounting Vocabulary

cash equivalents (p. 633) Highly liquid short-term investments that can be converted into cash immediately.

cash flows (p. 633) Cash receipts and cash payments (disbursements).

cash realization ratio (p. 659) An entity's ability to generate cash from net or operating profit. Calculated as cash flows from operations divided by net profit.

direct method (p. 637) Format of the operating activities section of the statement of cash flows; lists the major categories of operating cash receipts (collections from customers and receipts of interest and dividends) and cash disbursements (payments to suppliers, to employees, for interest and income taxes).

financing activities (p. 636) Activities that obtain from investors and creditors the cash needed to launch and sustain the business; a section of the statement of cash flows.

free cash flow (p. 659) The amount of cash available from operations after paying for capital expenditures such as investments in PPE.

indirect method (p. 637) Format of the operating activities section of the statement of cash flows; starts with net income and reconciles to cash flows from operating activities.

investing activities (p. 636) Activities that increase or decrease the long-term assets available to the business; a section of the statement of cash flows.

operating activities (p. 635) Activities that create revenue or expense in the entity's major line of business; a section of the statement of cash flows. Operating activities affect the Income Statement.

statement of cash flows (p. 633) Reports cash receipts and cash payments classified according to the entity's major activities: operating, investing, and financing.

ASSESS YOUR PROGRESS

Short Exercises

S11-1. (Learning Objectives 1, 2, 3: Explaining the purposes of the statement of cash flows)

State how the statement of cash flows helps investors and creditors perform each of the following functions:

- Predict future cash flows.
- Evaluate management decisions.

LO 1 2 3

S11-2. (Learning Objectives 1, 2, 3: Explaining the purposes of the statement of cash flows)

Fondue Ltd. has experienced an unbroken string of nine years of growth in net income. Nevertheless, the company is facing bankruptcy. Creditors are calling all of Fondue's loans for immediate payment, and the cash is simply not available. It is clear that the company's top managers overemphasized profits and gave too little attention to cash flows.

LO 1 2 3

■ **writing assignment**

Requirement

- Write a brief memo, in your own words, to explain to the managers of Fondue Ltd. the purposes of the statement of cash flows.

L0 3

S11-3. (Learning Objective 3: Evaluating operating cash flows—indirect method) Examine the statement of cash flows of Watches, Inc.

A1		
	A	B C
	Watches, Inc.	Year Ended
	Consolidated Statement of Cash Flows (Adapted; in millions)	December 31, 20X6
1		
2	Cash flows from operating activities:	
3	Net income	\$ 983
4	Adjustment to reconcile net income to net cash	
5	provided by operating activities:	
6	Depreciation and amortization	278
7	Change in assets and liabilities, net of acquired businesses:	
8	Accounts receivable	(587)
9	Other current assets	(200)
10	Accounts payable	(98)
11	Accrued expenses and other liabilities	(298)
12	Unearned revenue	31
13	Income taxes payable	(333)
14	Other, net	33
15	Net cash used in operating activities	(191)
16	Cash flows from investing activities:	
17	Purchase of property and equipment	\$ (1,991)
18	Purchase of investments	(26,603)
19	Sale of investments	24,108
20	Acquisitions of other companies	(454)
21	Net cash used in investing activities	(4,940)
22	Cash flows from financing activities	
23	Proceeds from the issuance of shares, net	\$ 1,043
24	Other, net	473
25	Net cash provided by financing activities	1,516
26	Other, net	22
27	Net increase (decrease) in cash and cash equivalents	(3,593)
28	Cash and cash equivalents at beginning of year	5,194
29	Cash and cash equivalents at end of year	\$ 1,601
30		

Suppose Watches' operating activities *provided*, rather than *used*, cash. Identify three things under the indirect method that could cause operating cash flows to be positive.

L0 1 2**■ writing assignment**

S11-4. (Learning Objectives 1, 2: Using cash-flow data to evaluate performance) Top managers of Tranquility Inns are reviewing company performance for 20X6. The Income Statement reports a 25% increase in net income over 20X5. However, most of the increase resulted from an exceptional gain from a lawsuit Tranquility Inns has last won against a competitor. The Balance Sheet shows a large increase in receivables. The cash flows statement, in summarized form, reports the following:

Net cash used for operating activities	\$(60,000)
Net cash provided by investing activities	40,000
Net cash provided by financing activities	35,000
Increase in cash during 20X6	\$ 15,000

Requirement

1. Write a memo giving Tranquility Inns's managers your assessment of 20X6 operations and your outlook for the future. Focus on the information content of the cash flow data.

L0 3

S11-5. (Learning Objective 3: Reporting cash flows from operating activities—indirect method) Beautiful Atlantic Transportation (BAT) began 20X6 with accounts receivable,

inventory, and prepaid expenses totaling \$59,000. At the end of the year, BAT had a total of \$56,000 for these current assets. At the beginning of 20X6, BAT owed current liabilities of \$21,000, and at year-end current liabilities totaled \$33,000.

Net income for the year was \$13,000. Included in net income were a \$3,000 loss on the sale of land and a depreciation expense of \$9,000.

Show how BAT should report cash flows from operating activities for 20X6. BAT uses the *indirect* method.

S11-6. (Learning Objectives 2, 3: Identifying items for reporting cash flows from operations—indirect method) Cocoa Clinic, Inc., is preparing its statement of cash flows (*indirect* method) for the year ended March 31, 20X6. Consider the following items in preparing the company's statement of cash flows. Identify each item as an operating activity—addition to net income (O+) or subtraction from net income (O)—an investing activity (I), a financing activity (F), or an activity that is not used to prepare the cash flow statement by the indirect method (N). Place the appropriate symbol in the blank space.

L0 2 3

	a. Decrease in accrued liabilities
	b. Issuance of shares
	c. Gain on sale of building
	d. Loss on sale of land
	e. Depreciation expense
	f. Increase in inventory
	g. Decrease in accounts receivable
	h. Increase in accounts payable
	i. Purchase of equipment
	j. Decrease of prepaid expense
	k. Collection of cash from customers
	l. Net income
	m. Retained earnings
	n. Payment of dividends

S11-7. (Learning Objective 3: Computing operating cash flows—indirect method) Ether Corporation accountants have assembled the following data for the year ended June 30, 20X6.

L0 3

Net income.....	\$	?	Cost of goods sold.....	\$117,000
Payment of dividends		5,700	Other operating expenses	34,000
Proceeds from the issuance			Purchase of equipment	44,000
of shares		27,000	Increase in current liabilities.....	8,000
Sales revenue		230,000	Payment of note payable	32,000
Decrease in current assets			Proceeds from sale of land.....	29,000
other than cash		36,000	Depreciation expense	12,000
Purchase of treasury shares		7,000		

Prepare the *operating activities* section of Ether's statement of cash flows for the year ended June 30, 20X6. Ether uses the *indirect* method for operating cash flows.

S11-8. (Learning Objectives 3, 4, 5: Preparing a statement of cash flows—indirect method) Use the data in Short Exercise 11-7 to prepare Ether Corporation's statement of cash flows for the year ended June 30, 20X6. Ether uses the *indirect* method for operating activities.

L0 3 4 5

S11-9. (Learning Objective 4: Computing investing cash flows) Motorsports of Madrid, Inc., reported the following financial statements for 20X6:

L0 4

A1		
	A	B
	Motorsports of Madrid, Inc.	Year Ended
	Income Statement	December 31, 20X6
1		
2	(In thousands)	
3	Service revenue	\$ 800
4	Cost of goods sold	340
5	Salary expense	50
6	Depreciation expense	40
7	Other expenses	180
8	Total expenses	610
9	Net income	\$ 190
10		

A1					
	A	B	C	D	E
	Motorsports of Madrid	December 31,			
	Comparative Balance Sheets	20X6 and 20X5			
1					
2	(In thousands)				
3	Assets	20X6	20X5	Liabilities	20X6
4	Current:			Current:	
5	Cash	\$ 28	\$ 11	Accounts payable	\$ 48
6	Accounts receivable	54	43	Salary payable	26
7	Inventory	77	89	Accrued liabilities	16
8	Prepaid expenses	6	5	Long-term notes payable	69
9	Long-term investments	54	79		
10	PPE, net	229	188	Shareholders' Equity	
11				Share capital	48
12				Retained earnings	241
13	Total	\$ 448	\$ 415	Total	\$ 448
14					

Compute the following investing cash flows (enter all amounts in thousands):

- Acquisitions of PPE (all were for cash). Motorsports of Madrid sold no PPE.
- Proceeds from the sale of investments. Motorsports of Madrid purchased no investments.

L0 5

S11-10. (Learning Objective 5: Computing financing cash flows) Use the Motorsports of Madrid data in Short Exercise 11-9 to compute the following (enter all amounts in thousands):

- New borrowing or payment of long-term notes payable. Motorsports of Madrid had only one long-term note payable transaction during the year.
- Issuance of share capital or retirement of shares. Motorsports of Madrid had only one share capital transaction during the year.
- Payment of cash dividends (same as dividends declared).

L0 6

S11-11. (Learning Objective 6: Computing operating cash flows—direct method) Use the Motorsports of Madrid data in Short Exercise 11-9 to compute the following (enter all amounts in thousands):

- Collections from customers
- Payments for inventory

L0 6

S11-12. (Learning Objective 6: Computing operating cash flows—direct method) Use the Motorsports of Madrid data in Short Exercise 11-9 to compute the following (enter all amounts in thousands):

- Payments to employees
- Payments of other expenses

L0 4 5 6 7

S11-13. (Learning Objectives 4, 5, 6, 7: Preparing and analyzing a statement of cash flows—direct method) Horse Heaven Farm began 20X6 with cash of \$180,000. During the year, Horse Heaven earned service revenue of \$600,000 and collected \$480,000 from

customers. Expenses for the year totaled \$330,000, with \$300,000 paid in cash to suppliers and employees. Horse Heaven also paid \$138,000 to purchase equipment and a cash dividend of \$47,000 to shareholders. During 20X6, Horse Heaven borrowed \$25,000 by issuing a note payable. Prepare the company's statement of cash flows for the year. Format operating activities by the *direct* method. Calculate Horse's free cash flow and cash realization ratio.

S11-14. (Learning Objective 6: Computing operating cash flows—direct method) Middleton Golf Club has assembled the following data for the year ended September 30, 20X6:

L0 6

Cost of goods sold.....	\$105,000	Payment of dividends	\$ 8,000
Payments to suppliers.....	90,000	Proceeds from issuance	
Purchase of equipment	43,000	of shares	18,000
Payments to employees.....	75,000	Sales revenue.....	214,000
Payment of note payable	16,000	Collections from customers.....	204,000
Proceeds from sale of land.....	62,000	Payment of income tax.....	15,000
Depreciation expense	7,000	Purchase of treasury shares	5,800

Prepare the *operating activities* section of Middleton Golf Club's statement of cash flows for the year ended September 30, 20X6. Middleton uses the *direct* method for operating cash flows.

S11-15. (Learning Objectives 4, 5, 6, 7: Preparing and analyzing a statement of cash flows—direct method) Use the data in Short Exercise 11-14 to prepare Middleton Golf Club's statement of cash flows for the year ended September 30, 20X6. Middleton uses the *direct* method for operating activities. Calculate Middleton's free cash flow and cash realization ratio.

L0 4 5 6 7

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select exercises using MyLab Accounting.

Group A

E11-16A. (Learning Objectives 2, 3: Identifying activities for the statement of cash flows—indirect method) Cooper-Fowler Investments specializes in low-risk government bonds. Identify each of Cooper-Fowler's transactions as operating (O), investing (I), financing (F), noncash investing and financing (NIF), or a transaction that is not reported on the statement of cash flows (N). Indicate whether each item increases (+) or decreases (–) cash. The *indirect* method is used for operating activities.

L0 2 3

☐	a. Net income
☐	b. Payment of long-term debt
☐	c. Accrual of salary expense
☐	d. Cash sale of land
☐	e. Purchase of long-term investment
☐	f. Acquisition of building by cash payment
☐	g. Purchase of treasury shares
☐	h. Issuance of shares for cash
☐	i. Decrease in accrued liabilities
☐	j. Depreciation of equipment
☐	k. Sale of long-term investment
☐	l. Issuance of long-term note payable to borrow cash
☐	m. Increase in prepaid expenses
☐	n. Payment of cash dividend
☐	o. Loss on sale of equipment
☐	p. Decrease in merchandise inventory
☐	q. Acquisition of equipment by issuance of note payable
☐	r. Increase in accounts payable
☐	s. Amortization of intangible assets

L0 2 3

E11-17A. (Learning Objectives 2, 3: Classifying transactions for the statement of cash flows—indirect method) Indicate whether each of the following transactions records an operating activity, an investing activity, a financing activity, or a noncash investing and financing activity.

A1							
	A	B	C	D	E	F	H
1	a.	Cash	50,000		g.	Depreciation expense	11,000
2		Accounts receivable	8,000			Accumulated	11,000
3		Service revenue		58,000	h.	Treasury shares	7,800
4	b.	Bonds Payable	46,000			Cash	7,800
5		Cash		46,000	i.	Land	84,000
6	c.	Cash	74,000			Cash	84,000
7		Share capital		10,000	j.	Equipment	18,000
8		Capital in excess of par		64,000		Cash	18,000
9	d.	Dividends payable	17,200		k.	Salary expense	23,000
10		Cash		17,200		Cash	23,000
11	e.	Loss on disposal of equipment	1,200		l.	Furniture and fixtures	24,200
12		Equipment, net		1,200		Cash	24,200
13	f.	Cash	6,800		m.	Building	158,000
14		Long-term investment		6,800		Note payable, long-term	158,000
15							

L0 3**writing assignment**

E11-18A. (Learning Objective 3: Computing cash flows from operating activities—indirect method) The accounting records of North East Distributors, Inc., reveal the following:

Net income.....	\$39,000	Depreciation.....	\$18,000
Collection of dividend revenue.....	7,900	Decrease in current liabilities.....	19,000
Payment of interest.....	12,000	Increase in current assets	
Sales revenue.....	14,000	other than cash.....	25,000
Loss on sale of land.....	23,000	Payment of dividends.....	7,800
Acquisition of land.....	43,000	Payment of income tax.....	15,000

Requirement

1. Compute cash flows from operating activities by the *indirect* method. Use the format of the operating activities section of Exhibit 11-6. Also evaluate the operating cash flow of North East Distributors. Give the reason for your evaluation.

L0 3

E11-19A. (Learning Objective 3: Computing cash flows from operating activities—indirect method) The accounting records of Abundant Fruit Traders include these accounts:

Cash			Accounts Receivable			Inventory		
May 1	90,000		May 1	1,000		May 1	3,000	
Receipts	440,000	Payments 445,000	Receipts	540,000	Collections 440,000	Purchases	438,000	Cost of sales 336,000
May 31	85,000		May 31	101,000		May 31	105,000	
Equipment			Accumulated Deprec.—Equipment			Accounts Payable		
May 1	185,000			May 1	55,000		May 1	14,500
Acquisition	5,000			Depreciation	5,000	Payments	327,000	Purchases 438,000
May 31	190,000			May 31	60,000		May 31	125,500
Accrued Liabilities			Retained Earnings					
	May 1	19,000	Quarterly	May 1	63,000			
Payments 32,000	Receipts	26,000	Dividend 16,000	Net Income	20,000			
	May 31	13,000		May 31	67,000			

Requirement

1. Compute Abundant's net cash provided by (used for) operating activities during May. Use the *indirect* method. Does Abundant have trouble collecting receivables or selling inventory? How can you tell?

E11-20A. (*Learning Objectives 3, 4, 5, 7: Preparing and analyzing the statement of cash flows—indirect method*) The Income Statement and additional data of Newbury Travel Products, Inc., follow:

L0 3 4 5 7

writing assignment

A1			
	A	B	C
1	Newbury Travel Products, Inc.		
2	Income Statement	Year Ended	December 31, 20X6
3	Revenues:		
4	Service revenue	\$ 283,000	
5	Dividend revenue	8,000	\$ 291,000
6	Expenses:		
7	Cost of goods sold	103,000	
8	Salary expense	78,000	
9	Depreciation expense	26,000	
10	Advertising expense	4,500	
11	Interest expense	2,600	
12	Income tax expense	8,000	222,100
13	Net income		\$ 68,900

Additional data:

- a. Acquisition of PPE was \$222,000. Of this amount, \$170,000 was paid in cash and \$52,000 by signing a note payable.
- b. Proceeds from sale of land totaled \$28,000.
- c. Proceeds from issuance of shares totaled \$90,000.
- d. Payment of a long-term note payable was \$18,000.
- e. Payment of dividends was \$13,000.
- f. From the Balance Sheets:

A1			
	A	B	C
1		December 31	
2		20X6	20X5
3	Current assets:		
4	Cash	\$ 30,000	\$ 10,800
5	Accounts receivable	42,000	59,000
6	Inventory	30,000	91,000
7	Prepaid expenses	9,400	8,700
8			
9	Current liabilities:		
10	Accounts payable	\$ 38,000	\$ 27,000
11	Accrued liabilities	18,000	99,000
12			

Requirements

1. Prepare Newbury's statement of cash flows for the year ended December 31, 20X6, using the *indirect* method.
2. Evaluate Newbury's cash flows for the year, including its free cash flow and cash realization ratio. In your evaluation, review all three categories of cash flows and give the reason for your evaluation.

L0 3 4 5

E11-21A. (*Learning Objectives 3, 4, 5: Interpreting a statement of cash flows—indirect method*) Donald is reviewing his nephews' cash flows. Huey, Dewey, and Louie all report the same income number (\$22,000) and bought the same equipment (\$84,000) during the year. Explain how Huey, Dewey, and Louie fund their respective PPE purchase. Whose cash flow would you rate as the best? The worst?

A1				
	A	B	C	D
		Huey	Dewey	Louie
1				
2	Cash flows from operating activities			
3	Net income	\$ 22,000	\$ 22,000	\$ 22,000
4	Depreciation and amortization	10,000	10,000	10,000
5	Increase in current assets	(23,000)	(3,000)	(12,000)
6	Decrease in current liabilities	(12,000)	(5,000)	(2,000)
7		(3,000)	24,000	18,000
8	Cash flows from investing activities:			
9	Acquisition of PPE	(84,000)	(84,000)	(84,000)
10	Sales of PPE	10,000	38,000	90,000
11		(74,000)	(46,000)	6,000
12	Cash flows from financing activities:			
13	Issuance of shares	98,000	63,000	16,000
14	Payment of debt	(22,000)	(38,000)	(24,000)
15		76,000	25,000	(8,000)
16	Net increase (decrease) in cash	\$ (1,000)	\$ 3,000	\$ 16,000
17				

L0 4 5

E11-22A. (*Learning Objectives 4, 5: Computing investing and financing amounts for the statement of cash flows*) Compute the following items for the statement of cash flows:

- Beginning and ending PPE, Net, are \$112,000 and \$106,000, respectively. Depreciation for the period was \$10,000, and purchases of new PPE were \$34,000. PPE were sold at a \$4,000 loss. What were the cash proceeds of the sale?
- Beginning and ending Retained Earnings are \$48,000 and \$74,000, respectively. Net income for the period was \$59,000, and share dividends were \$8,000. How much were cash dividends?

L0 6**■ writing assignment**

E11-23A. (*Learning Objective 6: Computing cash flows from operating activities—direct method*) The accounting records of Princeton Pharmaceuticals, Inc., reveal the following:

Payment of salaries and wages	\$36,000	Net income.....	\$64,000
Depreciation.....	20,000	Payment of income tax.....	25,000
Decrease in current liabilities	23,000	Collection of dividend revenue	12,000
Increase in current assets other than cash	24,000	Payment of interest.....	18,000
Payment of dividends	8,000	Cash sales.....	34,000
Collection of accounts receivable.....	50,000	Loss on sale of land	5,000
		Acquisition of land	38,000
		Payment of accounts payable	59,000

Requirement

- Compute cash flows from operating activities by the *direct* method. Also evaluate Princeton's operating cash flow. Give the reason for your evaluation.

L0 4 5 6

E11-24A. (*Learning Objectives 4, 5, 6: Identifying items for the statement of cash flows—direct method*) Selected accounts of Avril Antiques show the following:

Salary Payable

		Beginning balance	10,000
Payments	30,000	Salary expense	28,000
		Ending balance	8,000

Buildings

Beginning balance	80,000	Depreciation	20,000
Acquisitions	120,000	Book value of building sold	119,000*
Ending balance	61,000		

*Sale price was 150,000.

Notes Payable

		Beginning balance	234,000
Payments	67,000	Issuance of note payable for cash	74,000
		Ending balance	241,000

Requirement

- For each account, identify the item or items that should appear on a statement of cash flows prepared by the *direct* method. State where to report the item.

E11-25A. (Learning Objectives 4, 5, 6, 7: Preparing and analyzing the statement of cash flows—direct method) The Income Statement and additional data of Cobbs Hill, Inc., follow:

LO 4 5 6 7

■ writing assignment

A1			
	A	B	C
1	Cobbs Hill, Inc. Income Statement	Year Ended April 30, 20X6	
2	Revenues:		
3	Sales revenue	\$ 232,000	
4	Dividend revenue	11,000	\$ 243,000
5	Expenses:		
6	Cost of goods sold	108,000	
7	Salary expense	46,000	
8	Depreciation expense	31,000	
9	Advertising expense	11,500	
10	Interest expense	2,100	
11	Income tax expense	9,000	207,600
12	Net income		\$ 35,400
13			

Additional data:

- Collections from customers are \$14,000 more than sales.
- Payments to suppliers are \$1,500 less than the sum of cost of goods sold plus advertising expense.
- Payments to employees are \$3,000 more than salary expense.
- Dividend income, interest expense, and income tax expense equal their cash amounts.
- Acquisition of PPE is \$145,000. Of this amount, \$100,000 is paid in cash and \$45,000 by signing a note payable.
- Proceeds from sale of land total \$30,000.
- Proceeds from issuance of shares total \$94,000.
- Payment of long-term note payable is \$18,000.
- Payment of dividends is \$9,500.
- Cash balance, April 30, 20X5, was \$20,000.

Requirements

1. Prepare Cobbs Hill, Inc.'s statement of cash flows and accompanying schedule of noncash investing and financing activities. Report operating activities by the *direct* method.
2. Evaluate Cobbs Hill's cash flows for the year, including its free cash flow and cash realization ratio. In your evaluation, review all three categories of cash flows and give the reason for your evaluation.

L0 4 5 6

E11-26A. (*Learning Objectives 4, 5, 6: Computing amounts for the statement of cash flows—direct method*) Compute the following items for the statement of cash flows:

- a. Beginning and ending Accounts Receivable are \$25,000 and \$21,000, respectively. Credit sales for the period total \$63,000. How much are cash collections from customers?
- b. Cost of goods sold is \$78,000. Beginning Inventory was \$27,000, and ending Inventory balance is \$29,000. Beginning and ending Accounts Payable are \$11,000 and \$8,000, respectively. How much are cash payments for inventory?

Group B

L0 2 3

E11-27B. (*Learning Objectives 2, 3: Identifying activities for the statement of cash flows—indirect method*) Rogers-Carter Investments specializes in low-risk government bonds. Identify each of Rogers-Carter's transactions as operating (O), investing (I), financing (F), noncash investing and financing (NIF), or a transaction that is not reported on the statement of cash flows (N). Indicate whether each item increases (+) or decreases (–) cash. The *indirect* method is used for operating activities.

☐	a. Sale of long-term investment
☐	b. Issuance of shares for cash
☐	c. Increase in accounts payable
☐	d. Amortization of intangible assets
☐	e. Loss on sale of equipment
☐	f. Payment of long-term debt
☐	g. Cash sale of land
☐	h. Purchase of treasury shares
☐	i. Net income
☐	j. Acquisition of building by cash payment
☐	k. Decrease in merchandise inventory
☐	l. Depreciation of equipment
☐	m. Decrease in accrued liabilities
☐	n. Payment of cash dividend
☐	o. Purchase of long-term investment
☐	p. Issuance of long-term note payable to borrow cash
☐	q. Increase in prepaid expenses
☐	r. Accrual of salary expense
☐	s. Acquisition of equipment by issuance of note payable

L0 2 3

E11-28B. (*Learning Objectives 2, 3: Classifying transactions for the statement of cash flows—indirect method*) Indicate whether each of the following transactions records an operating activity, an investing activity, a financing activity, or a noncash investing and financing activity.

A1								
	A	B	C	D	E	F	G	H
1	a.	Equipment	15,700		h.	Cash	85,000	
2		Cash		15,700		Share capital		15,000
3	b.	Dividends payable	18,200			Capital in excess of par		70,000
4		Cash		18,200	i.	Furniture and fixtures	25,500	
5	c.	Salary expense	19,500			Cash		25,500
6		Cash		19,500	j.	Cash	71,000	
7	d.	Building	145,000			Accounts receivable	16,000	
8		Note payable, long-term		145,000		Service revenue		87,000
9	e.	Dividends payable	17,300		k.	Cash	9,200	
10		Cash		17,300		Long-term investment		9,200
11	f.	Depreciation expense	8,000		l.	Loss on disposal of equipment	1,400	
12		Accumulated depreciation		8,000		Equipment, net		1,400
13	g.	Bonds payable	48,000		m.	Land	20,400	
14		Cash		48,000		Cash		20,400
15								

E11-29B. (*Learning Objective 3: Computing cash flows from operating activities—indirect method*) The accounting records of Central Distributors, Inc., reveal the following:

L0 3

writing assignment

Net income.....	€41,000	Depreciation.....	€16,000
Collection of dividend revenue	6,800	Increase in current liabilities.....	24,000
Payment of interest.....	15,000	Decrease in current assets	
Sales revenue	13,000	other than cash	29,000
Loss on sale of land.....	18,000	Payment of dividends	7,100
Acquisition of land	44,000	Payment of income tax.....	12,000

Requirement

1. Compute cash flows from operating activities by the *indirect* method. Use the format of the operating activities section of Exhibit 11-6. Also evaluate the operating cash flow of Central Distributors. Give the reason for your evaluation.

E11-30B. (*Learning Objective 3: Computing cash flows from operating activities—indirect method*) The accounting records of Finest Fruit Traders include these accounts:

L0 3

Cash			Accounts Receivable			Inventory		
Oct 1	11,000		Oct 1	8,000		Oct 1	4,000	
Receipts	537,000	Payments 446,000	Receipts	538,000	Collections 537,000	Purchases	437,000	Cost of sales 434,000
Oct 31	102,000		Oct 31	9,000		Oct 31	7,000	

Equipment		Accumulated Deprec.—Equipment		Accounts Payable	
Oct 1	188,000		Oct 1	52,000	
Acquisition	7,000		Depreciation	9,000	Payments 328,000
Oct 31	195,000		Oct 31	61,000	Oct 31 123,000

Accrued Liabilities		Retained Earnings	
	Oct 1 12,000	Quarterly	Oct 1 66,000
Payments 28,000	Receipts 22,000	Dividend 18,000	Net Income 35,000
	Oct 31 6,000		Oct 31 83,000

Requirement

1. Compute Finest's net cash provided by (used for) operating activities during October. Use the *indirect* method. Does Finest have trouble collecting receivables or selling inventory? How can you tell?

LO 3 4 5 7

■ writing assignment

E11-31B. (*Learning Objectives 3, 4, 5, 7: Preparing and analyzing the statement of cash flows—indirect method*) The Income Statement and additional data of Norton Travel Products, Inc., follow:

A1			
	A	B	C
	Norton Travel Products, Inc. Income Statement	Year Ended December 31, 20X6	
1			
2	Revenues:		
3	Service revenue	€ 235,000	
4	Dividend revenue	8,300	€ 243,300
5	Expenses:		
6	Cost of goods sold	102,000	
7	Salary expense	62,000	
8	Depreciation expense	33,000	
9	Advertising expense	4,300	
10	Interest expense	2,400	
11	Income tax expense	7,000	210,700
12	Net income		€ 32,600
13			

Additional data:

- Acquisition of PPE was €180,000. Of this amount, €145,000 was paid in cash and €35,000 by signing a note payable.
- Proceeds from sale of land totaled €49,000.
- Proceeds from issuance of shares totaled €34,000.
- Payment of long-term note payable was €16,000.
- Payment of dividends was €9,000.
- From the Balance Sheets:

A1			
	A	B	C
1		December 31	
2		20X6	20X5
3	Current Assets:		
4	Cash	€ 32,000	€ 13,300
5	Accounts receivable	41,000	57,000
6	Inventory	48,000	87,000
7	Prepaid expenses	9,100	8,200
8			
9	Current Liabilities:		
10	Accounts payable	€ 32,000	€ 17,000
11	Accrued liabilities	14,000	43,000
12			

Requirements

- Prepare Norton's statement of cash flows for the year ended December 31, 20X6, using the *indirect* method.
- Evaluate Norton's cash flows for the year, including its free cash flow and cash realization ratio. In your evaluation, review all three categories of cash flows and give the reason for your evaluation.

LO 3 4 5

E11-32B. (*Learning Objectives 3, 4, 5: Interpreting a statement of cash flows—indirect method*) Daisy is reviewing her nieces' cash flows. April, May, and June all report the same income number (€12,000) and bought the same equipment (€98,000) during the year. Explain how April, May, and June fund their respective PPE purchase. Whose cash flow would you rate as the best? The worst?

A1				
	A	B	C	D
1		April	May	June
2	Cash flows from operating activities			
3	Net income	€ 12,000	€ 12,000	€ 12,000
4	Depreciation and amortization	14,000	14,000	14,000
5	Increase in current assets	2,000	(8,000)	3,000
6	Decrease in current liabilities	3,000	(20,000)	4,000
7		31,000	(2,000)	33,000
8	Cash flows from investing activities:			
9	Acquisition of PPE	(98,000)	(98,000)	(98,000)
10	Sales of PPE	105,000	20,000	30,000
11		7,000	(78,000)	(68,000)
12	Cash flows from financing activities:			
13	Issuance of shares	18,000	106,000	74,000
14	Payment of debt	(26,000)	(20,000)	(35,000)
15		(8,000)	86,000	39,000
16	Net increase (decrease) in cash	€ 30,000	€ 6,000	€ 4,000
17				

E11-33B. (*Learning Objectives 4, 5: Computing investing and financing amounts for the statement of cash flows*) Compute the following items for the statement of cash flows:

- Beginning and ending PPE, Net, are €102,000 and €98,000, respectively. Depreciation for the period was €13,000, and purchases of new PPE were €30,000. PPE were sold at a €6,000 gain. What were the cash proceeds of the sale?
- Beginning and ending Retained Earnings are €46,000 and €70,000, respectively. Net income for the period was €49,000, and share dividends were €10,000. How much were cash dividends?

E11-34B. (*Learning Objective 6: Computing cash flows from operating activities—direct method*) The accounting records of One Stop Pharmaceuticals, Inc., reveal the following:

Payment of salaries and wages.....	€40,000	Net income.....	€25,000
Depreciation.....	18,000	Payment of income tax.....	9,000
Increase in current liabilities.....	10,000	Collection of dividend revenue.....	8,000
Increase in current assets other than cash.....	33,000	Payment of interest.....	14,000
Payment of dividends.....	7,000	Cash sales.....	36,000
Collection of accounts receivable.....	80,000	Gain on sale of land.....	6,000
		Acquisition of land.....	35,000
		Payment of accounts payable.....	52,000

Requirement

- Compute cash flows from operating activities by the *direct* method. Also evaluate One Stop's operating cash flow. Give the reason for your evaluation.

E11-35B. (*Learning Objectives 4, 5, 6: Identifying items for the statement of cash flows—direct method*) Selected accounts of Ezra Antiques show the following:

L0 4 5

L0 6

writing assignment

L0 4 5 6

Salary Payable

		Beginning balance	14,000
Payments	20,000	Salary expense	42,000
		Ending balance	36,000

Buildings

Beginning balance	100,000	Depreciation	22,000
Acquisitions	155,000	Book value of building sold	117,000*
Ending balance	116,000		

*Sale price was 160,000.

Notes Payable

		Beginning balance	244,000
Payments	72,000	Issuance of note payable for cash	90,000
		Ending balance	262,000

Requirement

- For each account, identify the item or items that should appear on a statement of cash flows prepared by the *direct* method. State where to report the item.

L0 **4** **5** **6** **7**

E11-36B. (*Learning Objectives 4, 5, 6, 7: Preparing and analyzing the statement of cash flows—direct method*) The Income Statement and additional data of Happy Life, Inc., follow:

A1	A	B	C
	Happy Life, Inc. Income Statement	Year Ended November 30, 20X6	
1			
2	Revenues:		
3	Sales revenue	€ 223,000	
4	Dividend revenue	10,500	€ 233,500
5	Expenses:		
6	Cost of goods sold	102,000	
7	Salary expense	42,000	
8	Depreciation expense	19,000	
9	Advertising expense	14,000	
10	Interest expense	4,500	
11	Income tax expense	8,000	189,500
12	Net income		€ 44,000
13			

Additional data:

- Collections from customers are €17,500 more than sales.
- Payments to suppliers are €1,100 more than the sum of cost of goods sold plus advertising expense.
- Payments to employees are €1,800 less than salary expense.
- Dividend income, interest expense, and income tax expense equal their cash amounts.
- Acquisition of PPE is €158,000. Of this amount, €110,000 is paid in cash and €48,000 by signing a note payable.
- Proceeds from sale of land total €24,000.
- Proceeds from issuance of shares total €88,000.
- Payment of long-term note payable is €14,000.
- Payment of dividends is €8,000.
- Cash balance, November 30, 20X5, was €22,000.

Requirements

1. Prepare Happy Life, Inc.'s statement of cash flows and accompanying schedule of noncash investing and financing activities. Report operating activities by the *direct* method.
2. Evaluate Happy Life's cash flows for the year, including its free cash flow and cash realization ratio. In your evaluation, review all three categories of cash flows and give the reason for your evaluation.

E11-37B. (*Learning Objectives 4, 5, 6: Computing amounts for the statement of cash flows—direct method*) Compute the following items for the statement of cash flows:

L0 4 5 6

- a. Beginning and ending Accounts Receivable are €22,000 and €17,000, respectively. Credit sales for the period total €62,000. How much are cash collections from customers?
- b. Cost of goods sold is €79,000. Beginning Inventory balance is €28,000, and ending Inventory balance is €25,000. Beginning and ending Accounts Payable are €12,000 and €14,000, respectively. How much are cash payments for inventory?

Challenge Exercises

E11-38. (*Learning Objectives 3, 6: Computing cash-flow amounts*) Tip Top, Inc., reported the following in its financial statements for the year ended May 30, 20X6 (in thousands):

L0 3 6

A1			
	A	B	C
1		20X6	20X5
2	Income Statement		
3	Net sales	\$ 23,948	\$ 21,648
4	Cost of sales	18,062	15,423
5	Depreciation	256	228
6	Other operating expenses	3,857	4,245
7	Income tax expense	563	478
8	Net income	\$ 1,210	\$ 1,274
9	Balance Sheet		
10	Cash and equivalents	\$ 16	\$ 15
11	Accounts receivable	603	614
12	Inventory	3,140	2,872
13	Property and equipment, net	4,346	3,436
14	Accounts payable	1,551	1,371
15	Accrued liabilities	935	632
16	Income tax payable	197	193
17	Long-term liabilities	480	468
18	Share capital	515	445
19	Retained earnings	4,427	3,828
20			

Requirement

1. Determine the following cash receipts and payments for Tip Top, Inc., during 20X6: (Enter all amounts in thousands.)
 - a. Collections from customers
 - b. Payments for inventory
 - c. Payments for other operating expenses
 - d. Payment of income tax
 - e. Proceeds from issuance of shares
 - f. Payment of cash dividends

L0 3

E11-39. (Learning Objective 3: Using the Balance Sheet and the statement of cash flows together) Delorme Specialties reported the following at December 31, 20X6 (in thousands):

A1			
	A	B	C
1		20X6	20X5
2	From the comparative Balance Sheet:		
3	Property and equipment, net	€ 10,590	€ 9,360
4	Long-term notes payable	4,600	3,080
5	From the statement of cash flows:		
6	Depreciation	€ 1,950	
7	Capital expenditures	(4,090)	
8	Proceeds from sale of property and equipment	740	
9	Proceeds from issuance of long-term note payable	1,250	
10	Payment of long-term note payable	(80)	
11	Issuance of shares	389	
12			

Requirement

1. Determine the following items for Delorme Specialties during 20X6:
 - a. Gain or loss on the sale of property and equipment
 - b. Amount of long-term debt issued for something other than cash

Quiz

Test your understanding of the statement of cash flows by answering the following questions. Select the best choice from among the possible answers given.

- Q11-40.** Paying off bonds payable is reported on the statement of cash flows under
- a. investing activities.
 - b. operating activities.
 - c. financing activities.
 - d. noncash investing and financing activities.
- Q11-41.** The sale of inventory for cash is reported on the statement of cash flows under
- a. noncash investing and financing activities.
 - b. financing activities.
 - c. investing activities.
 - d. operating activities.
- Q11-42.** Selling equipment is reported on the statement of cash flows under
- a. operating activities.
 - b. investing activities.
 - c. financing activities.
 - d. noncash investing and financing activities.
- Q11-43.** Which of the following terms appears on a statement of cash flows—indirect method?
- a. Collections from customers
 - b. Cash receipt of interest revenue
 - c. Payments to suppliers
 - d. Depreciation expense
- Q11-44.** On an indirect method statement of cash flows, an increase in a prepaid insurance would be
- a. added to increases in current assets.
 - b. included in payments to suppliers.
 - c. added from net income.
 - d. deducted to net income.
- Q11-45.** On an indirect method statement of cash flows, an increase in accounts payable would be
- a. added to net income in the operating activities section.
 - b. deducted from net income in the operating activities section.
 - c. reported in the investing activities section.
 - d. reported in the financing activities section.

- Q11-46.** On an indirect method statement of cash flows, a gain on the sale of PPE would be
- reported in the investing activities section.
 - ignored, since the gain did not generate any cash.
 - added to net income in the operating activities section.
 - deducted from net income in the operating activities section.

Q11-47. Select an activity for each of the following transactions:

- Receiving cash dividends is a/an _____ activity.
- Paying cash dividends is a/an _____ activity.

Q11-48. Click Camera Co. sold equipment with a cost of \$22,000 and accumulated depreciation of \$10,000 for an amount that resulted in a gain of \$2,000. What amount should Click report on the statement of cash flows as “proceeds from sale of PPE?”

- \$10,000
- \$14,000
- \$20,000
- Some other amount

Questions 49–57 use the following data. Sheehan Corporation formats operating cash flows by the *indirect* method.

A1			
	A	B	C
1	Sheehan's Income Statement for 20X6		
2	Sales revenue	\$ 178,000	
3	Gain on sale of equipment	10,000*	\$ 188,000
4	Cost of goods sold	115,000	
5	Depreciation	7,500	
6	Other operating expenses	25,000	147,500
7	Net income		\$ 40,500
8			

*The book value of equipment sold during 20X6 was \$22,000.

A1						
	A	B	C	D	E	F
1	Sheehan's Comparative Balance Sheet at the end of 20X6					
2		20X6	20X5		20X6	20X5
3	Cash	\$ 5,500	\$ 3,000	Accounts payable	\$ 8,000	\$ 9,000
4	Accounts receivable	5,000	13,000	Accrued liabilities	6,000	4,000
5	Inventory	11,000	10,000	Long-term debt	25,000	10,000
6	Plant and equipment, net	97,000	71,000	Share capital	18,000	9,000
7		\$ 118,500	\$ 97,000	Retained earnings	61,500	65,000
8					\$ 118,500	\$ 97,000
9						

Q11-49. Which of the following items would *not* be found in Sheehan's cash flow from operating activities section of the cash flow statement?

- Gain on sale of equipment
- Depreciation
- Increase in inventory
- Increase in share capital

Q11-50. How do Sheehan's accrued liabilities affect the company's statement of cash flows for 20X6?

- They don't, because the accrued liabilities are not yet paid
- Increase in cash provided by operating activities
- Increase in cash used by investing activities
- Increase in cash used by financing activities

- Q11-51.** How do accounts receivable affect Sheehan's cash flows from operating activities for 20X6?
- Increase in cash provided by operating activities
 - Decrease in cash provided by operating activities
 - Decrease in cash used by investing activities
 - They don't, because accounts receivable result from investing activities
- Q11-52.** Sheehan's net cash provided by operating activities during 20X6 was
- \$30,000.
 - \$55,000.
 - \$35,000.
 - \$46,000.
- Q11-53.** Which of the following items would *not* be found in Sheehan's cash flow from investing activities section of the cash flow statement?
- Profit from the sale of PPE
 - Proceeds from the sale of PPE
 - Purchase of other long-term assets (if any)
 - Purchase of PPE
- Q11-54.** The book value of equipment sold during 20X6 was \$22,000. Sheehan's net cash flow from investing activities for 20X6 was
- net cash used of \$23,500.
 - net cash used of \$53,000.
 - net cash used of \$50,000.
 - net cash used of \$44,000.
- Q11-55.** Which of the following items would *not* be found in Sheehan's cash flow from financing activities section of the cash flow statement?
- Proceeds from disposal of PPE.
 - Proceeds from bank loan.
 - Payment of dividends.
 - Shares bought back.
- Q11-56.** Sheehan's largest financing cash flow for 20X6 resulted from
- payment of dividends.
 - purchase of equipment.
 - sale of equipment.
 - issuance of shares.
- Q11-57.** Sheehan's net cash flow from financing activities for 20X6 was
- net cash used of \$50,000.
 - net cash used of \$20,000.
 - net cash provided of \$9,000.
 - net cash used of \$44,000.
- Q11-58.** Sales totaled \$830,000, accounts receivable increased by \$60,000, and accounts payable decreased by \$40,000. How much cash did the company collect from customers?
- \$730,000
 - \$810,000
 - \$890,000
 - \$770,000
- Q11-59.** Income Tax Payable was \$5,500 at the end of the year and \$4,000 at the beginning. Income tax expense for the year totaled \$60,500. What amount of cash did the company pay for income tax during the year?
- \$60,500
 - \$62,000
 - \$64,500
 - \$59,000

Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select problems using MyLab Accounting.

Group A

L0 **2** **3** **4** **5**

P11-60A. (*Learning Objectives 2, 3, 4, 5: Preparing an Income Statement, Balance Sheet, and statement of cash flows—indirect method*) Vintage Automobiles of Dubai, Inc., was formed on January 1, 20X6. The following transactions occurred during 20X6:

On January 1, 20X6, Vintage issued its shares for \$440,000. Early in January, Vintage made the following cash payments:

- \$190,000 for equipment
- \$210,000 for inventory (seven cars at \$29,000 each)
- \$18,000 for 20X6 rent on a store building

In February, Vintage purchased two cars for inventory on account. Cost of this inventory was \$90,000 (\$45,000.00 each). Before year-end, Vintage paid \$56,000 of this debt. Vintage uses the FIFO method to account for inventory.

During 20X6, Vintage sold eight cars for a total of \$496,000. Before year-end, Vintage collected 80% of this amount.

The business employs five people. The combined annual payroll is \$125,000, of which Vintage owes \$8,000 at year-end. At the end of the year, Vintage paid income tax of \$12,500.

Late in 20X6, Vintage declared and paid cash dividends of \$13,000.

For equipment, Vintage uses the straight-line depreciation method, over five years, with zero residual value.

Requirements

1. Prepare Vintage Automobiles of Dubai, Inc.'s Income Statement for the year ended December 31, 20X6.
2. Prepare Vintage's Balance Sheet at December 31, 20X6.
3. Prepare Vintage's statement of cash flows for the year ended December 31, 20X6. Format cash flows from operating activities by using the *indirect* method.

P11-61A. (*Learning Objectives 2, 4, 5, 6: Preparing an Income Statement, Balance Sheet, and statement of cash flows—direct method*) Use the Antique Automobiles of Dubai, Inc., data from Problem 11-60A.

L0 2 4 5 6

Requirements

1. Prepare Vintage's Income Statement for the year ended December 31, 20X6.
2. Prepare Vintage's Balance Sheet at December 31, 20X6.
3. Prepare Vintage's statement of cash flows for the year ended December 31, 20X6. Format cash flows from operating activities by using the *direct* method.

P11-62A. (*Learning Objectives 2, 3, 4, 5: Preparing the statement of cash flows—indirect method*) Morgan Software Corp. has assembled the following data for the years ending December 31, 20X6 and 20X5.

L0 2 3 4 5

A1			
	A	B	C
1		December 31	
2		20X6	20X5
3	Current Accounts:		
4	Current assets:		
5	Cash and cash equivalents	\$ 130,700	\$ 40,000
6	Accounts receivable	70,900	63,400
7	Inventories	7,600	81,000
8	Prepaid expenses	3,200	1,400
9	Current liabilities:		
10	Accounts payable	\$ 57,300	\$ 55,400
11	Income tax payable	18,700	16,200
12	Accrued liabilities	15,200	27,500
13			

Transaction Data for 20X6:

Acquisition of land by issuing long-term note payable	\$201,000	Purchase of treasury shares....	\$10,700
Stock dividends	31,400	Loss on sale of equipment	5,000
Collection of loan.....	10,600	Payment of cash dividends	9,300
Depreciation expense	17,000	Issuance of long-term note payable to borrow cash.....	34,500
Purchase of building.....	97,000	Net income.....	6,500
Retirement of bonds payable by issuing ordinary shares ...	64,000	Issuance of ordinary shares for cash	36,500
Purchase of long-term investment.....	44,600	Proceeds from sale of equipment	81,000
		Amortization expense.....	5,000

Requirement

1. Prepare Morgan Software Corp.'s statement of cash flows using the *indirect* method to report operating activities. Include an accompanying schedule of noncash investing and financing activities.

L0 2 3 4 5 7

■ writing assignment

■ spreadsheet

P11-63A. (Learning Objectives 2, 3, 4, 5, 7: Preparing and analyzing the statement of cash flows—indirect method) The comparative Balance Sheets of Memphis Movie Theater Company at June 30, 20X6 and 20X5, reported the following:

A1			
	A	B	C
1		June 30	
2		20X6	20X5
3	Current assets:		
4	Cash and cash equivalents	\$ 67,300	\$ 28,000
5	Accounts receivable	15,400	26,100
6	Inventories	64,100	62,500
7	Prepaid expenses	3,300	8,200
8	Current liabilities:		
9	Accounts payable	\$ 57,100	\$ 56,400
10	Accrued liabilities	38,700	18,200
11	Income tax payable	9,200	10,500
12			

Memphis Movie Theater's transactions during the year ended June 30, 20X6, included the following:

Acquisition of land by issuing note payable	\$100,000	Sale of long-term investment....	\$12,700
Amortization expense.....	9,000	Depreciation expense	15,700
Payment of cash dividend.....	29,000	Cash purchase of building.....	44,000
Cash purchase of equipment	79,000	Net income.....	54,000
Issuance of long-term note payable to borrow cash.....	42,000	Issuance of share for cash.....	24,000
		Dividend	11,000

Requirements

1. Prepare Memphis Movie Theater Company's statement of cash flows for the year ended June 30, 20X6, using the *indirect* method to report cash flows from operating activities. Report noncash investing and financing activities in an accompanying schedule.

- Evaluate Memphis Movie Theater's cash flows for the year, including its free cash flow and cash realization ratio. Review all three categories of cash flows and give the reason for your evaluation.

P11-64A. (*Learning Objectives 2, 3, 4, 5: Preparing the statement of cash flows—indirect method*) The 20X6 and 20X5 comparative Balance Sheets and 20X6 Income Statement of Affordable Supply Corp. follow:

L0 2 3 4 5

■ **writing assignment**

■ **spreadsheet**

A1				
	A	B	C	D
1	Affordable Supply Corp.			
2	Comparative Balance Sheets			
3		December 31		Increase
4		20X6	20X5	(Decrease)
5	Current assets:			
6	Cash and cash equivalents	\$ 17,300	\$ 4,000	\$ 13,300
7	Accounts receivable	45,700	44,500	1,200
8	Inventories	61,400	47,000	14,400
9	Prepaid expenses	1,800	3,900	(2,100)
10	PPE:			
11	Land	69,100	22,600	46,500
12	Equipment, net	53,100	49,500	3,600
13	Total assets	\$ 248,400	\$ 171,500	\$ 76,900
14	Current liabilities:			
15	Accounts payable	\$ 35,200	\$ 26,900	\$ 8,300
16	Salary payable	24,000	13,100	10,900
17	Other accrued liabilities	22,100	23,700	(1,600)
18	Long-term liabilities:			
19	Notes payable	51,000	34,000	17,000
20	Shareholders' equity:			
21	Share capital, no-par	88,600	65,900	22,700
22	Retained earnings	27,500	7,900	19,600
23	Total liabilities and shareholders' equity	\$ 248,400	\$ 171,500	\$ 76,900

A1			
	A	B	C
1	Affordable Supply Corp.		
2	Income Statement		Year Ended
3			December 31, 20X6
4	Revenues:		
5	Sales revenue		\$ 450,000
6	Expenses:		
7	Cost of goods sold	\$ 186,900	
8	Salary expense	76,300	
9	Depreciation expense	17,900	
10	Other operating expense	49,900	
11	Interest expense	24,200	
12	Income tax expense	29,200	
13	Total expenses		384,400
14	Net income		\$ 65,600

Affordable Supply had no noncash investing and financing transactions during 20X6. During the year, there were no sales of land or equipment, no payment of notes payable, no retirements of shares, and no treasury shares transactions.

Requirements

- Prepare the 20X6 statement of cash flows, formatting operating activities by using the *indirect* method.
- How will what you learned in this problem help you evaluate an investment?

LO 2 4 5 6

■ writing assignment

■ spreadsheet

P11-65A. (*Learning Objectives 2, 4, 5, 6: Preparing the statement of cash flows—direct method*) Use the Affordable Supply Corp. data from Problem 11-64A.

Requirements

1. Prepare the 20X6 statement of cash flows by using the *direct* method.
2. How will what you learned in this problem help you evaluate an investment?

LO 2 4 5 6 7

■ writing assignment

P11-66A. (*Learning Objectives 2, 4, 5, 6, 7: Preparing and analyzing the statement of cash flows—direct method*) Ramirez Furniture Gallery, Inc., provided the following data from the company's records for the year ended May 31, 20X6:

- a. Credit sales, \$586,500
- b. Loan to another company, \$12,400
- c. Cash payments to purchase PPE, \$72,200
- d. Cost of goods sold, \$313,500
- e. Proceeds from issuance of ordinary shares, \$7,200
- f. Payment of cash dividends, \$48,400
- g. Collection of interest, \$4,700
- h. Acquisition of equipment by issuing short-term note payable, \$16,000
- i. Payments of salaries, \$79,000
- j. Proceeds from sale of PPE, \$22,700, including \$6,900 loss
- k. Collections on accounts receivable, \$428,600
- l. Interest revenue, \$3,600
- m. Cash receipt of dividend income, \$8,800
- n. Payments to suppliers, \$369,000
- o. Cash sales, \$191,400
- p. Depreciation expense, \$40,200
- q. Proceeds from issuance of note payable, \$24,600
- r. Payments of long-term notes payable, \$83,000
- s. Interest expense and payments, \$13,500
- t. Salary expense, \$75,900
- u. Loan collections, \$11,800
- v. Proceeds from sale of investments, \$9,600, including \$4,400 gain
- w. Payment of short-term note payable by issuing long-term note payable, \$94,000
- x. Amortization expenses, \$3,200
- y. Income tax expense and payments, \$38,400
- z. Cash balance: May 31, 20X5, \$19,200; May 31, 20X6, \$12,700

Requirements

1. Prepare Ramirez Furniture Gallery, Inc.'s statement of cash flows for the year ended May 31, 20X6. Use the *direct* method for cash flows from operating activities. Include an accompanying schedule of noncash investing and financing activities.
2. Evaluate 20X6 from a cash-flow standpoint. Give your reasons.

LO 3 4 5 6

P11-67A. (*Learning Objectives 3, 4, 5, 6: Preparing the statement of cash flows—direct and indirect methods*) To prepare the statement of cash flows, accountants for Daisy Electric Company have summarized 20X6's activities in two accounts as follows:

Cash

Beginning balance	49,600	Payments on accounts payable	402,000
Sale of long-term investment	14,600	Payments of dividends	47,900
Collections from customers	661,800	Payments of salaries and wages	143,600
Issuance of shares	61,000	Payments of interest	26,600
Receipts of dividends	16,900	Purchase of equipment	31,000
		Payments of operating expenses	34,500
		Payment of long-term note payable	41,500
		Purchase of treasury shares	22,400
		Payment of income tax	17,000
Ending Balance	37,400		

Share Capital

	Beginning balance	74,200
	Issuance for cash	61,000
	Issuance to acquire land	80,800
	Issuance to retire note payable	20,000
	Ending balance	236,000

Daisy's 20X6 Income Statement and Balance Sheet data follow:

A1			
	A	B	C
1	Daisy Electric Company	Year Ended	
	Income Statement	December 31, 20X6	
2	Revenues:		
3	Sales revenue		\$ 689,200
4	Dividend revenue		16,900
5	Total revenue		706,100
6	Expenses and losses:		
7	Cost of goods sold	\$ 334,000	
8	Salary and wage expense	135,800	
9	Depreciation expense	19,000	
10	Other operating expense	23,700	
11	Interest expense	29,100	
12	Income tax expense	14,500	
13	Loss on sale of investments	22,100	
14	Total expenses and losses		578,200
15	Net income		\$ 127,900
16			

A1		
	A	B
1	Daisy Electric Company Selected Balance Sheet Data	December 31, 20X6
2		Increase (Decrease)
3	Current assets:	
4	Cash and cash equivalents	\$ (12,200)
5	Accounts receivable	27,400
6	Inventories	59,700
7	Prepaid expenses	600
8	Long-term investments	(36,700)
9	Equipment, net	12,000
10	Land	80,800
11	Current liabilities:	
12	Accounts payable	(8,300)
13	Interest payable	2,500
14	Salary payable	(7,800)
15	Other accrued liabilities	(10,200)
16	Income tax payable	(2,500)
17	Long-term note payable	(61,500)
18	Share capital	161,800
19	Retained earnings	80,000
20	Treasury shares	(22,400)
21		

Requirements

1. Prepare the statement of cash flows of Daisy Electric Company for the year ended December 31, 20X6, using the *direct* method to report operating activities. Also prepare the accompanying schedule of noncash investing and financing activities.
2. Use Daisy's 20X6 Income Statement and Balance Sheet to prepare a supplementary schedule of cash flows from operating activities by using the *indirect* method.

L0 3 4 5 6

P11-68A. (Learning Objectives 3, 4, 5, 6: Preparing the statement of cash flows—indirect and direct methods) The comparative Balance Sheets of Ibrahim Design Studio, Inc., at June 30, 20X6 and 20X5, and transaction data for fiscal year 20X6 are as follows:

A1				
	A	B	C	D
1	Ibrahim Design Studio Comparative Balance Sheets			
2		June 30		Increase (Decrease)
3		20X6	20X5	
4	Current assets:			
5	Cash	\$ 28,900	\$ 21,000	\$ 7,900
6	Accounts receivable	48,800	31,700	17,100
7	Inventories	78,400	80,700	(2,300)
8	Prepaid expenses	3,100	2,200	900
9	Long-term investment	10,300	5,600	4,700
10	Equipment, net	74,000	73,300	700
11	Land	33,100	94,500	(61,400)
12		<u>\$ 276,600</u>	<u>\$ 309,000</u>	<u>\$ (32,400)</u>
13	Current liabilities:			
14	Notes payable, short-term	\$ 14,000	\$ 19,000	\$ (5,000)
15	Accounts payable	29,400	40,400	(11,000)
16	Income tax payable	13,200	14,400	(1,200)
17	Accrued liabilities	3,700	9,400	(5,700)
18	Interest payable	3,400	2,400	1,000
19	Salary payable	1,000	4,400	(3,400)
20	Long-term note payable	47,200	94,000	(46,800)
21	Share capital	59,400	52,000	7,400
22	Retained earnings	105,300	73,000	32,300
23		<u>\$ 276,600</u>	<u>\$ 309,000</u>	<u>\$ (32,400)</u>
24				

Transaction data for the year ended June 30, 20X6:

- a. Net income, \$81,700
- b. Depreciation expense on equipment, \$14,900
- c. Purchased long-term investment, \$5,700
- d. Sold land for \$54,900, including \$6,500 loss
- e. Acquired equipment by issuing long-term note payable, \$15,600
- f. Paid long-term note payable, \$62,400
- g. Received cash for issuance of shares, \$3,400
- h. Paid cash dividends, \$49,400
- i. Paid short-term note payable by issuing shares, \$6,000

Requirements

1. Prepare the statement of cash flows of Ibrahim Design Studio, Inc., for the year ended June 30, 20X6, using the *indirect* method to report operating activities. Also prepare the accompanying schedule of noncash investing and financing activities. All current accounts except short-term notes payable result from operating transactions.
2. Prepare a supplementary schedule showing cash flows from operations by the *direct* method. The accounting records provide the following: collections from customers, \$246,700; interest received, \$1,700; payments to suppliers, \$119,600; payments to employees, \$42,900; payments for income tax, \$13,900; and payment of interest, \$4,900.

Group B

P11-69B. (*Learning Objectives 2, 3, 4, 5: Preparing an Income Statement, Balance Sheet, and statement of cash flows—indirect method*) Slick Automobiles of Dubai, Inc., was formed on January 1, 20X6. The following transactions occurred during 20X6:

On January 1, 20X6, Slick issued its shares for €350,000. Early in January, Slick made the following cash payments:

- a. €150,000 for equipment
- b. €180,000 for inventory (five cars at €35,000 each)
- c. €16,000 for 20X6 rent on a store building

In February, Slick purchased six cars for inventory on account. Cost of this inventory was €288,000 (€48,000 each). Before year-end, Slick paid €198,400 of this debt. Slick uses the FIFO method to account for inventory.

During 20X6, Slick sold six vintage autos for a total of €438,000. Before year-end, Slick collected 90% of this amount.

The business employs three people. The combined annual payroll is €90,000, of which Slick owes €6,000 at year-end. At the end of the year, Slick paid income tax of €15,000.

Late in 20X6, Slick declared and paid cash dividends of €17,000.

For equipment, Slick uses the straight-line depreciation method, over five years, with zero residual value.

Requirements

1. Prepare Slick Automobiles of Dubai, Inc.'s Income Statement for the year ended December 31, 20X6.
2. Prepare Slick's Balance Sheet at December 31, 20X6.
3. Prepare Slick's statement of cash flows for the year ended December 31, 20X6. Format cash flows from operating activities by using the *indirect* method.

P11-70B. (*Learning Objectives 2, 4, 5, 6: Preparing an Income Statement, Balance Sheet, and statement of cash flows—direct method*) Use the Slick Automobiles of Dubai, Inc., data from Problem 11-69B.

Requirements

1. Prepare Slick's Income Statement for the year ended December 31, 20X6.
2. Prepare Slick's Balance Sheet at December 31, 20X6.
3. Prepare Slick's statement of cash flows for the year ended December 31, 20X6. Format cash flows from operating activities by using the *direct* method.

L0 2 3 4 5

L0 2 4 5 6

L0 2 3 4 5

P11-71B. (*Learning Objectives 2, 3, 4, 5: Preparing the statement of cash flows—indirect method*) Newton Software Corp. has assembled the following data for the year ended December 31, 20X6 and 20X5:

A1		
	A	B C
1		December 31
2		20X6 20X5
3	Current Accounts:	
4	Current assets:	
5	Cash and cash equivalents	€ 66,400 € 36,000
6	Accounts receivable	23,000 64,200
7	Inventories	89,500 84,000
8	Prepaid expenses	3,300 2,300
9	Current liabilities:	
10	Accounts payable	57,300 55,700
11	Income tax payable	28,000 16,300
12	Accrued liabilities	15,800 7,400
13		

Transaction Data for 20X6:

Acquisition of land by issuing long-term note payable	€198,000	Purchase of treasury shares.....	€14,400
Dividends	31,600	Loss on sale of equipment	3,000
Collection of loan.....	11,000	Payment of cash dividends	18,800
Depreciation expense	17,000	Issuance of long-term note payable to borrow cash.....	34,000
Purchase of building.....	159,000	Net income.....	58,000
Retirement of bonds payable by issuing ordinary shares ...	71,000	Issuance of ordinary shares for cash	74,200
Purchase of long-term investment.....	49,900	Proceeds from sale of equipment	12,900
		Amortization expense.....	6,000

Requirement

1. Prepare Newton Software Corp.'s statement of cash flows using the *indirect* method to report operating activities. Include an accompanying schedule of noncash investing and financing activities.

L0 2 3 4 5 7**■ writing assignment****■ spreadsheet**

P11-72B. (*Learning Objectives 2, 3, 4, 5, 7: Preparing and analyzing the statement of cash flows—indirect method*) The comparative Balance Sheets of Marmaduke Movie Theater Company at June 30, 20X6 and 20X5, reported the following:

A1		
	A	B C
1		June 30
2		20X6 20X5
3	Current assets:	
4	Cash and cash equivalents	€ 8,700 € 18,000
5	Accounts receivable	15,400 22,100
6	Inventories	64,100 61,500
7	Prepaid expenses	16,300 8,200
8	Current liabilities:	
9	Accounts payable	€ 58,100 € 55,400
10	Accrued liabilities	58,700 48,200
11	Income tax payable	6,200 10,100
12		

Marmaduke's transactions during the year ended June 30, 20X6, included the following:

Acquisition of land		Sale of long-term investment....	€13,400
by issuing note payable	€115,000	Depreciation expense	15,600
Amortization expense.....	6,000	Cash purchase of building.....	59,000
Payment of cash dividend.....	34,000	Net income.....	50,000
Cash purchase of		Issuance of shares	
equipment	45,600	for cash	13,000
Issuance of long-term note		Share dividend.....	9,000
payable to borrow cash.....	26,000		

Requirements

1. Prepare Marmaduke Movie Theater Company's statement of cash flows for the year ended June 30, 20X6, using the *indirect* method to report cash flows from operating activities. Report noncash investing and financing activities in an accompanying schedule.
2. Evaluate Marmaduke's cash flows for the year, including its free cash flow and cash realization ratio. Review all three categories of cash flows and give the reason for your evaluation.

P11-73B. (*Learning Objectives 2, 3, 4, 5: Preparing the statement of cash flows—indirect method*) The 20X6 and 20X5 comparative Balance Sheets and 20X6 Income Statement of King Supply Corp. follow:

L0 2 3 4 5

■ **writing assignment**

■ **spreadsheet**

A1				
	A	B	C	D
1	King Supply Corp.			
2	Comparative Balance Sheets			
3		December 31		Increase
4		20X6	20X5	(Decrease)
5	Current assets:			
6	Cash and cash equivalents	€ 17,600	€ 5,000	€ 12,600
7	Accounts receivable	45,500	44,500	1,000
8	Inventories	79,100	67,500	11,600
9	Prepaid expenses	2,100	6,000	(3,900)
10	PPE:			
11	Land	69,100	21,900	47,200
12	Equipment, net	53,100	49,200	3,900
13	Total assets	€ 266,500	€ 194,100	€ 72,400
14	Current liabilities:			
15	Accounts payable	€ 35,800	€ 25,600	€ 10,200
16	Salary payable	22,000	15,600	6,400
17	Other accrued liabilities	22,900	24,200	(1,300)
18	Long-term liabilities:			
19	Notes payable	50,000	37,000	13,000
20	Shareholders' equity:			
21	Share capital, no-par	88,600	64,300	24,300
22	Retained earnings	47,200	27,400	19,800
23	Total liabilities and shareholders' equity	€ 266,500	€ 194,100	€ 72,400

A1			
	A	B	C
1	King Supply Corp.	Year Ended	
2	Income Statement	December 31, 20X6	
3	Revenues:		
4	Sales revenue		€ 448,000
5	Expenses:		
6	Cost of goods sold	€ 185,300	
7	Salary expense	76,800	
8	Depreciation expense	17,500	
9	Other operating expense	49,700	
10	Interest expense	24,900	
11	Income tax expense	29,800	
12	Total expenses		384,000
13	Net income		€ 64,000

King Supply had no noncash investing and financing transactions during 20X6. During the year, there were no sales of land or equipment, no payment of notes payable, no retirements of shares, and no treasury share transactions.

Requirements

1. Prepare the 20X6 statement of cash flows, formatting operating activities by using the *indirect* method.
2. How will what you learned in this problem help you evaluate an investment?

L0 2 4 5 6

■ writing assignment

■ spreadsheet

P11-74B. (*Learning Objectives 2, 4, 5, 6: Preparing the statement of cash flows—direct method*) Use the King Supply Corp. data from Problem P11-73B.

Requirements

1. Prepare the 20X6 statement of cash flows by using the *direct* method.
2. How will what you learned in this problem help you evaluate an investment?

L0 2 4 5 6

■ writing assignment

P11-75B. (*Learning Objectives 2, 4, 5, 6: Preparing the statement of cash flows—direct method*) Dunleavy Furniture Gallery, Inc., provided the following data from the company's records for the year ended December 31, 20X6:

- a. Credit sales, €568,000
- b. Loan to another company, €13,800
- c. Cash payments to purchase PPE, €60,900
- d. Cost of goods sold, €383,700
- e. Proceeds from issuance of ordinary shares, €8,000
- f. Payment of cash dividends, €49,000
- g. Collection of interest, €5,200
- h. Acquisition of equipment by issuing short-term note payable, €17,500
- i. Payments of salaries, €94,700
- j. Proceeds from sale of PPE, €23,300, including €7,000 loss
- k. Collections on accounts receivable, €407,000
- l. Interest revenue, €4,300
- m. Cash receipt of dividend income, €5,000
- n. Payments to suppliers, €388,200
- o. Cash sales, €202,000
- p. Depreciation expense, €41,100
- q. Proceeds from issuance of note payable, €20,300
- r. Payments of long-term notes payable, €70,000
- s. Interest expense and payments, €14,700
- t. Salary expense, €92,600

- u. Loan collections, €13,100
- v. Proceeds from sale of investments, €12,200, including €3,800 gain
- w. Payment of short-term note payable by issuing long-term note payable, €69,000
- x. Amortization expenses, €4,200
- y. Income tax expense and payments, €37,800
- z. Cash balance: December 31, 20X5, €50,000; December 31, 20X6, €17,000

Requirements

1. Prepare Dunleavy Furniture Gallery, Inc.'s statement of cash flows for the year ended December 31, 20X6. Use the *direct* method for cash flows from operating activities. Include an accompanying schedule of noncash investing and financing activities.
2. Evaluate 20X6 from a cash-flow standpoint. Give your reasons.

P11-76B. (*Learning Objectives 3, 4, 5, 6: Preparing the statement of cash flows—direct and indirect methods*) To prepare the statement of cash flows, accountants for Spencer Electric Company have summarized the 20X6 activity in two accounts as follows:

L0 3 4 5 6

Cash			
Beginning balance	71,500	Payments on accounts payable	399,500
Sale of long-term investment	20,000	Payments of dividends	27,600
Collections from customers	661,600	Payments of salaries and wages	143,300
Issuance of shares	22,200	Payments of interest	27,100
Receipts of dividends	16,800	Purchase of equipment	31,700
		Payments of operating expenses	34,900
		Payment of long-term note payable	41,300
		Purchase of treasury shares	26,300
		Payment of income tax	18,600
Ending Balance	41,800		

Share capital			
		Beginning balance	73,200
		Issuance for cash	22,200
		Issuance to acquire land	61,700
		Issuance to retire note payable	17,000
		Ending balance	174,100

Spencer's 20X6 Income Statement and Balance Sheet data follow:

A1			
A		B	C
Spencer Electric Company Income Statement		Year Ended December 31, 20X6	
1			
2	Revenues:		
3	Sales revenue		€ 647,200
4	Dividend revenue		16,800
5	Total revenue		664,000
6	Expenses and losses:		
7	Cost of goods sold	€ 404,600	
8	Salary and wage expense	150,500	
9	Depreciation expense	16,400	
10	Other operating expense	30,500	
11	Interest expense	24,900	
12	Income tax expense	16,100	
13	Loss on sale of investments	16,700	
14	Total expenses and losses		659,700
15	Net income		€ 4,300
16			

A1		
	A	B
1	Spencer Electric Company	December 31,
	Selected Balance Sheet Data	20X6
2		Increase
3		(Decrease)
4	Current assets:	
5	Cash and cash equivalents	€ (29,700)
6	Accounts receivable	(14,400)
7	Inventories	(12,900)
8	Prepaid expenses	(6,000)
9	Long-term investments	(36,700)
10	Equipment, net	15,300
11	Land	61,700
12	Current liabilities:	
13	Accounts payable	(7,800)
14	Interest payable	(2,200)
15	Salary payable	7,200
16	Other accrued liabilities	(10,400)
17	Income tax payable	(2,500)
18	Long-term note payable	(58,300)
19	Share capital	100,900
20	Retained earnings	(23,300)
21	Treasury shares	(26,300)

Requirements

1. Prepare the statement of cash flows of Spencer Electric Company for the year ended December 31, 20X6, using the *direct* method to report operating activities. Also prepare the accompanying schedule of noncash investing and financing activities.
2. Use Spencer's 20X6 Income Statement and Balance Sheet to prepare a supplementary schedule of cash flows from operating activities by using the *indirect* method.

L0 3 4 5 6

P11-77B. (*Learning Objectives 3, 4, 5, 6: Preparing the statement of cash flows—indirect and direct methods*) The comparative Balance Sheets of Salim Design Studio, Inc., at June 30, 20X6 and 20X5, and transaction data for fiscal year 20X6 are as follows:

A1				
	A	B	C	D
1	Salim Design Studio			
2	Comparative Balance Sheets			
3		June 30		Increase
4		20X6	20X5	(Decrease)
5	Current assets:			
6	Cash	€ 28,900	€ 2,400	€ 26,500
7	Accounts receivable	59,000	22,300	36,700
8	Inventories	98,200	40,400	57,800
9	Prepaid expenses	3,500	2,500	1,000
10	Long-term investment	10,000	5,000	5,000
11	Equipment, net	74,900	73,600	1,300
12	Land	58,100	98,900	(40,800)
13		€ 332,600	€ 245,100	€ 87,500
14	Current liabilities:			
15	Notes payable, short-term	€ 13,200	€ 20,200	€ (7,000)
16	Accounts payable	42,300	41,300	1,000
17	Income tax payable	13,300	14,400	(1,100)
18	Accrued liabilities	97,400	9,300	88,100
19	Interest payable	3,500	2,500	1,000
20	Salary payable	400	3,100	(2,700)
21	Long-term note payable	48,700	94,200	(45,500)
22	Share capital	79,700	51,600	28,100
23	Retained earnings	34,100	8,500	25,600
24		€ 332,600	€ 245,100	€ 87,500

Transaction data for the year ended June 30, 20X6:

- a. Net income, €73,500
- b. Depreciation expense on equipment, €14,000
- c. Purchased long-term investment, €5,000
- d. Sold land for €33,700, including €7,000 loss
- e. Acquired equipment by issuing long-term note payable, €15,300
- f. Paid long-term note payable, €60,800
- g. Received cash for issuance of shares, €21,200
- h. Paid cash dividends, €47,900
- i. Paid short-term note payable by issuing shares, €7,000

Requirements

1. Prepare the statement of cash flows of Salim Design Studio, Inc., for the year ended June 30, 20X6, using the *indirect* method to report operating activities. Also prepare the accompanying schedule of noncash investing and financing activities. All current accounts except short-term notes payable result from operating transactions.
2. Prepare a supplementary schedule showing cash flows from operations by the *direct* method. The accounting records provide the following: collections from customers, €272,700; interest received, €1,400; payments to suppliers, €130,900; payments to employees, €40,000; payments for income tax, €12,600; and payment of interest, €5,300.

APPLY YOUR KNOWLEDGE

Decision Cases

L0 3 4 5

■ writing assignment

Case 1. (*Learning Objectives 3, 4, 5: Preparing and using the statement of cash flows to evaluate operations*) The 20X7 Income Statement and the 20X7 comparative Balance Sheet of T-Bar-M Camp, Inc., have just been distributed at a meeting of the camp's board of directors. The directors raise a fundamental question: Why is the cash balance so low? This question is especially troublesome since 20X7 showed record profits. As the controller of the company, you must answer the question.

A1		
	A	B
	T-Bar-M Camp, Inc. Income Statement	Year Ended December 31, 20X7
1		
2	(In thousands)	
3	Revenues:	
4	Sales revenue	\$ 436
5	Expenses:	
6	Cost of goods sold	\$ 221
7	Salary expense	48
8	Depreciation expense	46
9	Interest expense	13
10	Amortization expense	11
11	Total expenses	339
12	Net income	\$ 97
13		

A1			
	A	B	C
	T-Bar-M Camp, Inc. Comparative Balance Sheets	December 31	
1			
2	(In thousands)	20X7	20X6
3	Assets		
4	Cash	\$ 17	\$ 63
5	Accounts receivable, net	72	61
6	Inventories	194	181
7	Long-term investments	31	0
8	Property, plant and equipment	369	259
9	Accumulated depreciation	(244)	(198)
10	Patents	177	188
11	Totals	\$ 616	\$ 554
12	Liabilities and Owners' Equity		
13	Accounts payable	\$ 63	\$ 56
14	Accrued liabilities	12	17
15	Notes payable, long-term	179	264
16	Share capital, no par	149	61
17	Retained earnings	213	156
18	Totals	\$ 616	\$ 554
19			

Requirements

1. Prepare a statement of cash flows for 20X7 in the format that best shows the relationship between net income and operating cash flow. The company sold no PPE or long-term investments and issued no notes payable during 20X7. There were *no* noncash investing and financing transactions during the year. Show all amounts in thousands.
2. Answer the board members' question: Why is the cash balance so low? Point out the two largest cash payments during 20X7. (Challenge)
3. Considering net income and the company's cash flows during 20X7, was it a good year or a bad year? Give your reasons.

Case 2. (Learning Objectives 1, 2: Using cash-flow data to evaluate an investment)

Applied Technology, Inc., and Four-Star Catering are asking you to recommend their shares to your clients. Because Applied and Four-Star earn about the same net income and have similar financial positions, your decision depends on their statements of cash flows, summarized as follows:

	Applied	Four-Star
Net cash provided by operating activities:	\$ 30,000	\$ 70,000
Cash provided by (used for) investing activities:		
Purchase of PPE	\$(20,000)	\$(100,000)
Sale of PPE	40,000	10,000
Cash provided by (used for) financing activities:		
Issuance of shares	—	30,000
Paying off long-term debt	(40,000)	—
Net increase in cash.....	\$ 10,000	\$10,000

Based on their cash flows, which company looks better? Give your reasons. (Challenge)

Ethical Issue

Copenhagen Motors is having a bad year. Net income is only €37,000. Also, two important overseas customers are falling behind in their payments to Copenhagen, and Copenhagen's accounts receivable are ballooning. The company desperately needs a loan. The board of directors is considering ways to put the best face on the company's financial statements. Copenhagen's bank closely examines cash flow from operations. Daniel Peavey, Copenhagen's controller, suggests reclassifying as long-term the receivables from the slow-paying clients. He explains to the board that removing the €80,000 rise in accounts receivable from current assets will increase net cash provided by operations. This approach may help Copenhagen get the loan.

Requirements

1. Using only the amounts given, compute net cash provided by operations, both without and with the reclassification of the receivables. Which reporting makes Copenhagen look better?
2. Identify the ethical issue(s).
3. Who are the stakeholders?
4. Analyze the issue from the (a) economic, (b) legal, and (c) ethical standpoints. What is the potential impact on all stakeholders?
5. What should the board do?
6. Under what conditions would the reclassification of the receivables be considered ethical?

LO 1 2

■ writing assignment



■ writing assignment



Focus on Financials: | Nestlé

This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well.

Refer to Nestlé's financial statements in Appendix A. If you wish, you can obtain the full annual report from www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.

Requirements

1. By which method does Nestlé report cash flows from operating activities? How can you tell?
2. Suppose Nestlé reported net cash flows from operating activities using the direct method. Compute these amounts for the year ended December 31, 20X6 (ignore the statement of cash flows, and use only Nestlé's Income Statement and Balance Sheet).
 - a. Collections from vendors, customers, and others. Assume that all sales are on account.
 - b. Payments to suppliers. Assume all inventory is purchased on account, and that all cash payments to suppliers are made from accounts payable.
3. What is Nestlé's main source of cash? Is this good news or bad news to Nestlé's managers, shareholders, and creditors? What is Nestlé's main use of cash? Good news or bad news?
4. Calculate Nestlé's free cash flow and cash realization ratio for 20X6 and 20X5.

Group Projects

Project 1. Each member of the group should obtain the annual report of a different company. Select companies in different industries. Evaluate each company's trend of cash flows for the most recent two years. In your evaluation of the companies' cash flows, you may use any other information that is publicly available—for example, the other financial statements (Income Statement, Balance Sheet, statement of changes in equity, and the related notes) and news stories from magazines and newspapers. Rank the companies' cash flows from best to worst and write a two-page report on your findings.

Project 2. Select a company and obtain its annual report, including all the financial statements. Focus on the statement of cash flows and, in particular, the cash flows from operating activities. Specify whether the company uses the direct method or the indirect method to report operating cash flows. As necessary, use the other financial statements (Income Statement, Balance Sheet, and statement of changes in equity) and the notes to prepare the company's cash flows from operating activities by using the other method.

Quick Check Answers

1. *a*
2. *c*
3. *c*
4. *b* ($\$160,000 + \$8,000$)
5. *b*
6. *a*
7. *a* ($\$50,000 + \$12,000 - \$9,000 + \$15,000 + \$10,000 + \$3,000$)
8. *d* ($\$6,000 - \$35,000 + \$42,000$)
9. *a* ($-\$2,000 + \$4,000 - \$16,000$)
10. *b* ($\$42,000 + \$15,000$)
11. *c* ($\$80,000 + \$700,000 - \$60,000$)
12. *b* ($\$760,000 - \$410,000 - \$180,000$)
13. *d* ($\$410,000 - \$10,000 + \$12,000$)